Introduction

WHICH QUADRANT ARE YOU IN?

The CASHFLOW Quadrant®
is a way to categorize people
based on where their money comes from.

Are you financially free? If your life has come to a financial fork in the road, *Rich Dad's CASHFLOW Quadrant* was written for you. If you want to take control of what you do today in order to change your financial destiny, this book will help you chart your course.

This is the CASHFLOW Quadrant. The letters in each quadrant represent:

E for employee
S for small business or self-employed
B for big business
I for investor

Each of us resides in at least one of the four sections (quadrants) of the CASHFLOW Quadrant. Where we are is determined by where our cash comes from. Many of us are employees who rely on paychecks, while others are self-employed. Employees and self-employed individuals reside on the left side of the CASHFLOW Quadrant. The right side is for individuals who receive their cash from businesses they own or investments they own.

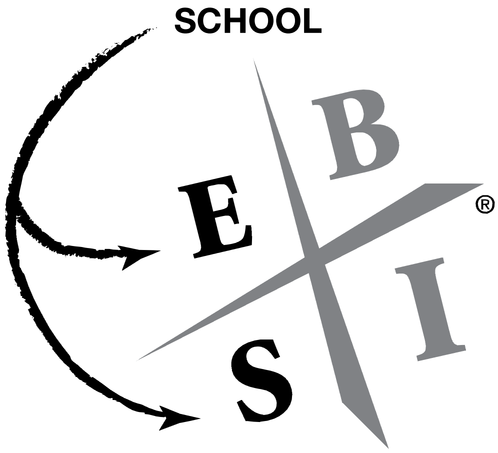
The CASHFLOW Quadrant is an easy way to categorize people based on where their money comes from. Each quadrant within the CASHFLOW Quadrant is unique, and the people within each one share common characteristics. The quadrants will show you where you are today and will help you chart a course for where you want to be in the future as you choose your own path to financial freedom. While financial freedom can be found in all four of the quadrants, the skills of a B or I will help you reach your financial goals more quickly. Successful E's need to become successful I's to ensure their financial security during retirement.

What Do You Want to Be When You Grow Up?

This book is, in many ways, Part II of my book, *Rich Dad Poor Dad.* For those of you who may not have read *Rich Dad Poor Dad,* it is about the different lessons my two dads taught me about money and life choices. One was my real dad, and the other was my best friend's dad. One was highly educated and the other was a high school dropout. One was poor, and the other was rich.

Poor Dad's Advice

Growing up, my highly educated, but poor, dad always said, "Go to school, get good grades, and find a safe secure job." He was recommending a life path that looked like this:



Poor dad recommended that I become either a well-paid E, employee, or a well-paid S, self-employed professional, such as a medical doctor, lawyer, or accountant. My poor dad was very concerned about a steady paycheck, benefits, and job security. That's why he was a well-paid government official, the head of education for the State of Hawaii.

Rich Dad's Advice

My uneducated, but rich, dad offered very different advice. He said, "Go to school, graduate, build businesses, and become a successful investor." He was recommending a life path that looked like this:

This book is about the mental, emotional, and educational process I went through in following my rich dad's advice.

Who Is This Book For?

This book is written for people who are ready to change quadrants, especially for individuals who are currently in the E and S categories and are contemplating moving to the B or I category. This book is for people who are ready to move beyond job security and begin to achieve financial security. It's not an easy life path, but the prize at the end of the road, financial freedom, is worth the journey.

When I was 12 years old, rich dad told me a simple story that guided me to great wealth and financial freedom. It was his way of explaining the difference between the left side of the CASHFLOW Quadrant, the E and S quadrants, and the right side, or the B and I quadrants. The story goes like this:

"Once upon a time there was this quaint little village. It was a great place to live except for one problem. The village had no water unless it rained. To solve this problem once and for all, the village elders asked contractors to submit bids to deliver water to the village on a daily basis. Two people volunteered to take on the task, and the elders awarded the contract to both of them. They felt that a little competition would keep prices low and ensure a backup supply of water.

"The first person who won the contract, Ed, immediately ran out, bought two galvanized steel buckets and began running back and forth to the lake which was a mile away. He immediately began making money as he labored morning to dusk, hauling water from the lake with his two buckets. He would empty them into the large concrete holding tank the village had built. Each morning he had to get up before the rest of the village awoke to make sure there was enough water for the people. It was hard work, but he was very happy to be making money and for having one of the two exclusive contracts for this business.

"The second winning contractor, Bill, disappeared for a while. He wasn't seen for months, which made Ed very happy, since he had no competition.

"Instead of buying two buckets to compete with Ed, Bill wrote a business plan, created a corporation, found four investors, employed a president to do the work, and returned six months later with a construction crew. Within a year, his team had built a large-volume stainless-steel pipeline which connected the village to the lake.

"At the grand-opening celebration, Bill announced that his water was cleaner than Ed's water. Bill knew that the villagers had complained about the water's lack of cleanliness. Bill also announced that he could supply the village with water 24 hours a day, 7 days a week. Ed could only deliver water on weekdays because he didn't want to work on weekends. Then Bill announced that he would charge 75 percent less than Ed did for this higher-quality, more-reliable water. The villagers cheered and immediately ran for the faucet at the end of Bill's pipeline.

"In order to compete, Ed immediately lowered his rates by 75 percent, bought two more buckets, added covers to his buckets and began hauling four buckets each trip. In order to provide better service, he hired his two sons to give him a hand on the night shift and on weekends. When his boys went off to college, he said to them, 'Hurry back because someday this business will belong to you.'

"For some reason, his two sons never returned. Eventually, Ed had employees and union problems. The union demanded higher wages and better benefits and wanted its members to only haul one bucket at a time.

"Meanwhile, Bill realized that if this village needed water, then other villages must need water too. He rewrote his business plan and went off to sell his high-speed, high-volume, low-cost, clean-water delivery system to villages throughout the world. He only makes a penny per bucket of water delivered, but he delivers billions of buckets of water every day. Whether he works or not, billions of people consume billions of buckets of water, and all that money pours into his bank account. Bill developed a pipeline to deliver money to himself, as well as water to the villages.

"Bill lived happily ever after. Ed worked hard for the rest of his life and had financial problems forever after. The end."

That story about Bill and Ed has guided me for years. It has assisted me in my life's decision-making process. I often ask myself:

"Am I building a pipeline or hauling buckets?"

"Am I working hard, or am I working smart?"

And the answers to those questions have made me financially free.

That is what this book is about. It's about what it takes to become a B and an I. It's for people who are tired of hauling buckets and are ready to build pipelines for cash to flow into their pockets.

This Book Is Divided into Three Parts

Part One

The first part of this book focuses on the core differences between people in the four quadrants. It shows why certain people gravitate to certain quadrants and often get stuck there without realizing it. It will help you identify where you are today in the quadrant and where you want to be in five years.

Part Two

The second part of this book is about personal change. It's more about who you have to be, instead of what you have to do.

Part Three

The third part of this book explains how to find success on the right side of the CASHFLOW Quadrant. I will share more of my rich dad's secrets on the skills required to be a successful B and I. It will help you choose your own path to financial freedom.

Throughout *Rich Dad's CASHFLOW Quadrant,* I continue to stress the importance of financial intelligence. If you want to operate on the right side, the B- and I-quadrant side, you must be smarter than if you choose to stay on the left side, the E- and S-quadrant side. To be a B or I, you must be able to control the direction of your cash flow.

This book is written for people who are ready to make changes in their lives to move beyond job security and begin to build their own pipelines to achieve financial freedom.

We are in the Information Age which offers more opportunities for financial reward than ever before. Individuals with the skills of the B's and I's will be able to identify and seize those opportunities. To be successful in the Information Age, a person needs information from all four quadrants. Unfortunately, our schools are still in the Industrial Age and still prepare students for only the left side of the CASHFLOW Quadrant.

If you're looking for new answers to move forward in the Information Age, this book is for you. It doesn't have all the answers, but it will share the deep personal and guiding insights I gained as I traveled from the E and S side to the B and I side.

Part One

THE CASHFLOW QUADRANT

Chapter One

WHY DON'T YOU GET A JOB?

To someone who values a job, it's difficult to explain why you might not want one.

In 1985, my wife Kim and I were homeless. We were unemployed and had little money left in savings. Our credit cards were exhausted, and we lived in an old brown Toyota with reclining seats that served as beds. At the end of one week, the harsh reality of who we were, what we were doing, and where we were headed began to sink in.

Our homelessness lasted another two weeks. When a friend realized our desperate financial situation, she offered us a room in her basement. We lived there for nine months.

We kept our situation quiet. For the most part, Kim and I looked quite normal on the surface. When friends and family were informed of our plight, the first question was always, "Why don't you get a job?"

At first, we attempted to explain, but we usually failed to clarify our reasons. To someone who values a job, it's difficult to explain why you might not want one.

We did odd jobs occasionally and earned a few dollars here and there, but we did that only to keep food in our stomachs and gas in the car. Those few extra dollars were only fuel to keep us going toward our singular goal. I must admit that during moments of deep personal doubt, the idea of a safe, secure job with a paycheck was appealing.

But because job security wasn't what we were looking for, we kept pushing on, living day to day, on the brink of the financial abyss.

That year, 1985, was the worst of our lives as well as one of the longest. Anyone who says that money isn't important obviously has not been without it for long. Kim and I fought and argued often. Fear, uncertainty, and hunger shortens the human emotional fuse, and often we fight with the person who loves us the most. Yet love held the two of us together, and our bond as a couple grew stronger because of the adversity. We knew where we were going. We just didn't know if we would ever get there.

We knew we could always find safe, secure, high-paying jobs. Both of us were college graduates with good job skills and solid work ethics. But we weren't after job security. We wanted financial freedom.

By 1989, we were millionaires. Although financially successful in some people's eyes, we still hadn't reached our goal of true financial freedom. That took until 1994. By then, we never had to work again for the rest of our lives. Barring any unforeseen financial disaster, we were both financially free. Kim was 37 and I was 47.

It Doesn't Take Money to Make Money

I started this chapter with a discussion about our being homeless and having nothing in 1985 because I often hear people say, "It takes money to make money."

I disagree. To get from homeless in 1985, to rich in 1989, and then to financial freedom by 1994, didn't take money. We had no money when we started, and we were in debt.

It also doesn't take a good formal education. I have a college degree, and I can honestly say that achieving financial freedom had nothing to do with what I learned in college. I didn't find much demand for my years of studying calculus, spherical trigonometry, chemistry, physics, French, and English literature.

Many successful people have left school without receiving a college degree—people such as Thomas Edison, founder of General Electric; Henry Ford, founder of Ford Motor Co.; Bill Gates, founder of Microsoft; Ted Turner, founder of CNN; Michael Dell, founder of Dell Computers; Steve Jobs, founder of Apple Computer; and Ralph Lauren, founder of Polo. A college education is important for traditional professions, but not for how these people found great wealth. They developed their own successful businesses, and that was what Kim and I were striving for.

So What Does It Take?

I am often asked, “If it doesn’t take money to make money, and schools don’t teach you how to become financially free, then what does it take?”

My answer: It takes a dream, a lot of determination, a willingness to learn quickly, and the ability to use your God-given assets properly and to know which quadrant in the CASHFLOW Quadrant is the right one for you to generate your income.

What Is the CASHFLOW Quadrant?

The diagram below is the CASHFLOW Quadrant. The letters in each quadrant represent:

E for employee
S for small business or self-employed
B for big business
I for investor

From Which Quadrant Do You Generate Your Income?

The CASHFLOW Quadrant represents the different methods by which income or money is generated. For example, an employee earns money by holding a job and working for a person or a company. Self-employed people earn money working for themselves. A business owner owns a business that generates money, and investors earn money from their various investments—in other words, money generating more money.

Different methods of income generation require different frames of mind, different technical skills, and different educational paths. Different people are attracted to different quadrants.

While money is all the same, the way it's earned can be vastly different. If you begin to look at the four different labels for each quadrant, you might want to ask yourself, "Which quadrant do I generate the majority of my income from?"

Each quadrant is different. To generate income from different quadrants requires different skills and a different personality, even if the person found in each quadrant is the same. Changing from quadrant to quadrant is like playing golf in the morning and then attending the ballet at night.

You Can Earn Income in All Four Quadrants

Most of us have the potential to generate income from all four quadrants. Which quadrant you or I choose to earn our primary income from is not so much dependent upon what we learned in school. It's more about who we are at the core—our values, strengths, weaknesses, and interests. These core differences attract us to, or repel us from, each quadrant.

Yet, regardless of what type of work we perform, we can still work in all four quadrants. For example, a medical doctor could choose to earn income as an E and join the staff of a large hospital or an insurance company, work for the government in the public-health field, or become a military doctor.

This same doctor could also decide to earn income as an S and start a private practice, setting up an office, hiring staff, and building a private list of patients.

Or the doctor could decide to become a B and own a clinic or laboratory and have other doctors on staff. This doctor probably would hire a business manager to run the organization. In this case, the doctor would own the business but not have to work in it. The doctor also could decide to own a business that has nothing to do with the medical field while still practicing medicine somewhere else. In this case, the doctor would be earning income as both an E and as a B.

As an I, the doctor could generate income from being an investor in someone else's business or in vehicles like the stock market, bond market, and real estate.

The important words are "generate income from." It's not so much what we do, but more how we generate income.

Different Methods of Income Generation

More than anything, it's the internal differences of our core values, strengths, weaknesses, and interests that affect which quadrant we decide to generate our income from. Some people love being employees, while others hate it. Some people love owning companies but don't want to run them. Others love owning companies and also love running them. Some people love investing, while others can't get past the risk of losing money. Most of us are a little of each of these characters. Being successful in the four quadrants often means redirecting some internal core values.

You Can Be Rich or Poor in All Four Quadrants

It is important to note that you can be rich or poor in all four quadrants. There are people who earn millions and people who go bankrupt in each of the quadrants. Being in one quadrant or another does not necessarily guarantee financial success.

Not All Quadrants Are Equal

By knowing the different features of each quadrant, you'll have a better idea as to which quadrant, or quadrants, might be best for you.

For example, one of the many reasons I chose to work predominantly in the B and I quadrants is because of tax advantages. For most people working on the left side of the quadrant, there are few legal tax breaks available. Yet legal tax breaks abound on the right side of the quadrant. By working to generate income in the B and I quadrants, I could acquire money faster and keep that money working for me longer without losing large chunks of it to the government in the form of taxes.

Different Ways of Earning Money

When people ask why Kim and I were homeless, I tell them it was because of what my rich dad taught me about money. For me, money is important, yet I didn't want to spend my life working for it. That is why I didn't want a job. If we were going to be responsible citizens, Kim and I wanted to have our money work for us, rather than spend our lives physically working for money.

That is why the CASHFLOW Quadrant is important. It depicts the different ways money is generated. There are ways of being responsible and creating money other than physically working for it.

Different Fathers—Different Ideas about Money

My highly educated dad had a strong belief that the love of money was evil and that excessive profit meant you were greedy. He felt embarrassed when the newspapers published how much he made because he felt he was overcompensated in comparison to the teachers who worked for him. He was a good, honest, hardworking man who did his best to defend his point of view that money wasn't important to his life.

My highly educated, yet poor, dad constantly said,

- "I'm not that interested in money."
- "I'll never be rich."
- "I can't afford it."
- "Investing is risky."
- "Money isn't everything."

Money Supports Life

My rich dad had a different point of view. He thought it foolish to spend your life working for money and to pretend that money wasn't important. Rich dad believed that life was more important than money, but that money was important for supporting life. He often said, "You only have so many hours in a day, and you can only work so hard. So why work hard for money? Learn to have money and people work hard for you, and you can be free to do the things that are important." To my rich dad, what was important was:

- Having lots of time to raise his kids.
- Having money to donate to charities and projects he supported.
- Bringing jobs and financial stability to the community.
- Having time and money to take care of his health.
- Being able to travel the world with his family.

"Those things take money," said rich dad. "That's why money is important to me. Money is important, but I don't want to spend my life working for it."

Choosing Quadrants

One reason Kim and I focused on the B and I quadrants while we were homeless was because I had more training and education in those quadrants. It was because of my rich dad's guidance that I knew the different financial and professional advantages of each quadrant. For me, the quadrants on the right side, the B and I quadrants, offered the best opportunity for long-term financial success and financial freedom. Also, at age 37, I had experienced successes and failures in all four quadrants which allowed me some degree of understanding about my own personal temperament, likes, dislikes, strengths, and weaknesses. I knew which quadrants I did best in.

Parents Are Teachers

When I was a young boy, my rich dad often referred to the CASHFLOW Quadrant. He would explain to me the difference between someone who was successful on the left side versus the right side. But being young, I really didn't pay much attention to what he said. I didn't understand the difference between an employee's mindset and a business owner's mindset. I was just trying to survive school.

Yet I did hear his words, and soon they began to make sense. Having two dynamic and successful father figures around me gave meaning to what each was saying. But it was what they were doing that allowed me to begin to notice the differences between the E-S side and the B-I side. At first, the differences were subtle. Then they became glaring.

For example, one painful lesson I learned as a young boy was simply how much time one dad had available to spend with me versus the other. As the success and prominence of both dads grew, it was obvious that one dad had less and less time to spend with his wife and four children. My real dad was always on the road, at meetings, or dashing off to the airport for more meetings. The more successful he got, the fewer dinners we had together as a family. On weekends, he was at home in his crowded little office, buried under paperwork.

On the other hand, my rich dad had more and more free time as his success grew. One of the reasons I learned so much about money, finance, business, and life was simply because my rich dad had more and more free time for his children and me.

Another example is that both dads made more and more money as they became successful, but my real dad, the educated one, also got further into debt. So he'd work harder and suddenly find himself in a higher income-tax bracket. His banker and accountant would then tell him to buy a bigger house for the so-called "tax break." My dad would follow the advice and buy a bigger house, and soon he was working harder than ever so he could make more money to pay for it. Ultimately, this just took him even further away from his family.

My rich dad was different. He made more and more money but paid less in taxes. He also had bankers and accountants, but he wasn't getting the same advice my highly educated dad was getting.

The Main Reason

The driving force, however, that wouldn't allow me to stay on the left side of the Quadrant was what happened to my highly educated but poor dad at the peak of his career.

In the early 1970s, I was already out of college and in Pensacola, Florida, going through pilot training for the Marine Corps before a tour in Vietnam. My educated dad was now the superintendent of education for the State of Hawaii and a member of the governor's staff. One evening, he phoned me with some interesting news.

"Son," he said, "I'm going to resign from my job and run for lieutenant governor of Hawaii for the Republican party."

I gulped and then said, "You're going to run for office against your boss?"

"That's right," he replied.

"Why?" I asked. "Republicans don't have a chance in Hawaii. The Democratic party and the labor unions are too strong."

"I know, Son. I know that we don't have a prayer of winning. Judge Samuel King will be the candidate for governor, and I will be his running mate."

"Why?" I asked again. "Why go against your boss if you know you're going to lose?"

"Because my conscience won't let me do anything else. The games these politicians are playing disturb me."

"Are you saying they're corrupt?" I asked.

"I don't want to say that," said my real dad. He was an honest and moral man who rarely spoke badly about anyone. Yet I could tell from his voice that he was angry and upset when he said, "I'll just say that my conscience bothers me when I see what goes on behind the scenes. I couldn't live with myself if I turned a blind eye and did nothing. My job and paycheck aren't as important as my conscience."

After a long silence, I realized that my dad's mind was made up. "Good luck," I said quietly. "I'm proud of you for your courage, and I'm proud to be your son."

My dad and the Republican ticket were crushed, as expected. The re-elected governor sent the word out that my dad was never to work again for the State of Hawaii, and he never did. At the age of 54, my dad went looking for a job, and I was on my way to Vietnam.

When he was middle-aged, my dad was hunting for a job. He went from jobs with big titles and low pay to other jobs with big titles and low pay. He was a tall, brilliant, and dynamic man who was no longer welcome in the only world he knew, the world of government employees. He tried starting several small businesses. He was a consultant for a while and even bought a famous franchise, but all his efforts failed.

As he grew older and his strength slipped away, so did his drive to start over again. His lack of will became even more pronounced after each business failure. He was a successful E trying to survive as an S, a quadrant in which he had no training or experience and for which he had no heart. He loved the world of public education, but he couldn't find a way to get back in. The ban on his employment in the state government was silently, but firmly, in place.

If not for Social Security and Medicare, the last years of his life would have been a complete disaster. He died frustrated and a little angry, yet he died with a clear conscience.

So what kept me going in the darkest of hours? It was the haunting memory of my educated dad sitting at home, waiting for the phone to ring, trying to succeed in the world of business, a world he knew nothing about. That, and the joyous memory of seeing my rich dad grow happier and more successful as his years went on, inspired me. Instead of declining at age 54, rich dad blossomed. He had become rich years before that, but now he was becoming mega-rich. He was constantly in the newspapers as the man who was buying up Waikiki and Maui. His years of methodically building businesses and investing were paying off, and he was on his way to becoming one of the richest men in the Islands.

Small Differences Become Large Differences

Because my rich dad had explained the quadrants to me, I was better able to see that small differences grow into large differences when measured over the years a person spends working. Because of the CASHFLOW Quadrant, I knew it was better to decide, not so much what I wanted to do, but more who I wanted to become as my working years progressed. In the darkest hours, it was this deep knowledge, and the lessons from two powerful dads, that kept me going.

It Is More Than the Quadrant

The CASHFLOW Quadrant is more than two lines and some letters. If you look below the surface of this simple diagram, you will find completely different worlds, as well as different ways of looking at the world. As a person who has looked at the world from both the left and the right sides, I can honestly say the world looks much different depending on which side you are on.

One quadrant is not better than another. Each has strengths and each has weaknesses. This book is written to give you a glimpse into the different quadrants and into the personal development required to be financially successful in each of them. It's my belief that you'll gain further insights into choosing the financial life path that's best suited for you.

Many of the skills essential to being successful on the right side of the quadrant aren't taught in school, which may explain how people like Bill Gates, Ted Turner, and Thomas Edison left school early and yet learned how to be successful B's and I's. This book will identify the skills, as well as the personal core temperament, that are necessary for finding success on the B and I side. First, I offer a broad overview of the four quadrants, and then an in-depth focus on the B and I side.

After reading this book, some of you might want to make a change in how you earn your income, and some of you will be happy to stay just where you are. You might choose to operate in more than one quadrant, maybe even in all four quadrants. We're all different, and one quadrant isn't more important or better than another. In every village, town, city, and nation in the world, there is a need for people to operate in all four quadrants in order to ensure the financial stability of the community.

Also, as we grow older and gain different experiences, our interests change. For example, I notice that many young people right out of school are often happy to get a job. But after a couple of years, a few of them decide they aren't interested in climbing the corporate ladder, or they lose interest in their chosen field. These changes of age and experience often cause a person to search for new avenues of growth, challenge, financial reward, and personal happiness. I hope this book offers some fresh ideas for attaining those goals.

In short, this book isn't about homelessness, but about finding a home—a home in a quadrant or quadrants.

Chapter Two

DIFFERENT QUADRANTS, DIFFERENT PEOPLE

Changing quadrants is often a change at the core of who you are.

"You can't teach an old dog new tricks," my highly educated dad always said.

I had talked with him on several occasions, doing my best to explain the CASHFLOW Quadrant, in an effort to give him some new financial direction. Nearing 60 years of age, he was realizing that many of his dreams weren't going to be fulfilled. His "blacklisting" seemed to go beyond the walls of state government. He was now blacklisting himself.

"I tried it, but it didn't work," he said.

My dad was referring to his attempts to be successful in the S quadrant as a self-employed consultant, and as a B when he poured much of his life savings into a famous ice-cream franchise that failed.

Being bright, he conceptually understood the different technical skills required in each of the four quadrants. He knew he could learn them if he wanted to. But there was something else holding him back.

One day over lunch, I talked to my rich dad about my educated dad. "Your father and I aren't the same people at the core," said rich dad. "While we both have fears, doubts, beliefs, strengths, and weaknesses, we respond or handle those core similarities quite differently."

"Can you tell me the differences?" I asked.

"Not over one lunch," said rich dad. "But how we respond to those differences is what causes us to remain in one quadrant or another. When your dad tried to cross over from the E quadrant to the B quadrant, intellectually he could understand the process, but he couldn't handle it emotionally. When things didn't go smoothly and he began to lose money, he didn't know what to do to solve the problems, so he went back to the quadrant he felt most comfortable in."

"The E and sometimes S quadrant," I said.

Rich dad nodded his head. "When the fear of losing money and failing becomes too painful inside, a fear we both have, he chooses to seek security and I choose to seek freedom."

"And that is the core difference," I said, signaling the waiter for our check.

"Even though we're all human beings," said rich dad, "when it comes to money and the emotions attached to money, we all respond differently. And it's how we respond to those emotions that often determines which quadrant we choose to generate our income from."

"Different quadrants for different people," I said.

"That's right," said rich dad as we stood and headed for the door. "And if you're going to be successful in any quadrant, you need to have more than just technical skills. You also need to know the core differences that cause people to seek different quadrants. Know that, and life will be much easier."

We were shaking hands and saying good-bye as the valet brought my rich dad's car around.

"Oh, one last thing," I said hurriedly. "Can my dad change?"

"Oh sure," said rich dad. "Anyone can change. But changing quadrants isn't like changing jobs or changing professions. Changing quadrants is often a change at the core of who you are—how you think and how you look at the world. The change is easier for some people than for others simply because some people welcome change and others fight it. And changing quadrants is most often a life-changing experience. It's a change as profound as the age-old story of the caterpillar becoming a butterfly. Not only will you change, but so will your friends. While you'll still be friends with your old friends, it's just harder for caterpillars to do the same things butterflies do. So the changes are big changes, and not too many people choose to make them."

The valet closed the door, and as my rich dad drove off, I was left thinking about the core differences.

What Are the Core Differences?

How do I tell if people are an E, S, B, or I without knowing much about them? One of the ways is by listening to their words.

One of my rich dad's greatest skills was being able to "read" people, but he also believed you could not judge a book by its cover. Rich dad, like Henry Ford, didn't have an excellent education, but both men knew how to hire and work with people who did. Rich dad always explained to me that the ability to bring smart people together and work as a team was one of his primary skills.

When I was nine, my rich dad began to teach me the skills necessary to be successful in the B and I quadrants. One of those skills was to get beyond the surface of a person and gaze into their core. Rich dad used to say, "If I listen to a person's words, I begin to see and feel their souls."

So as a young boy, I began to sit in with my rich dad when he hired people. From these interviews I learned to listen, not so much for words, but for core values—values that my rich dad said came from their souls.

E-Quadrant Words

A person who comes from the E (employee) quadrant might say: "I am looking for a safe, secure job with good pay and excellent benefits."

S-Quadrant Words

A person who comes from the S (self-employed) quadrant might say: "My rate is $75 per hour." Or "My normal commission rate is six percent of the total price." Or "I can't seem to find people who want to work and do the job right." Or "I've got more than 20 hours into this project."

B-Quadrant Words

A person operating out of the B (business-owner) quadrant might say: "I'm looking for a new president to run my company."

I-Quadrant Words

Someone operating out of the I (investor) quadrant might say: "Is my cash flow based on an internal rate of return or net rate of return?"

Words Are Tools

Once my rich dad knew who the person he was interviewing was at their core, at least for that moment, he would know what they were really looking for, what he had to offer, and what words to use when speaking to them. Rich dad always said, "Words are powerful tools."

Rich dad constantly reminded his son Mike and me of this. "If you want to be a leader of people, then you need to be a master of words."

So one of the skills necessary to be a great B is to be a master of words, knowing which words work on which kinds of people. He trained us to first listen carefully to the words a person used. Then we would know which words we should use and when to use them, in order to respond to that person in the most effective way.

Rich dad explained, "One word may excite one type of person while that same word would completely turn off another person."

For example, the word "risk" might be exciting to a person in the I quadrant, but evoke total fear to someone in the E quadrant.

To be great leaders, rich dad stressed that we first had to be great listeners. If you don't listen to the words a person uses, you'll never be able to feel their soul. And if you don't listen to their soul, you'll never know to whom you are talking.

Core Differences

The reason he would say, "Hear their words; feel their souls," is because behind the words a person chooses are the core values and core differences of that individual. The following are some of the generalities that separate people in one quadrant from those in another:

1. ***The E (Employee)***

   When I hear the words "secure" or "benefits," I get a sense of who the speaker might be at the core. The word "secure" is a word often used in response to the emotion of fear.

   If a person feels fear, then the need for security is often a commonly used phrase for someone who comes predominantly from the E quadrant. When it comes to money and jobs, there are many people who simply hate the feeling of fear that comes with economic uncertainty: hence, the desire for security. The word "benefit" means people would also like some kind of additional reward that is spelled out, a defined and assured extra compensation, such as health insurance or a retirement plan.

   The key is that they want to feel secure and see it in writing. Uncertainty doesn't make them happy; certainty does. Their internal workings say, "I'll give you this if you promise to give me that in return."

They want their fear reduced by the presence of some degree of certainty, so they seek security and strong agreements when it comes to employment. They're accurate when they say, "I'm not that interested in money." For them, the idea of security is often more important than money.

Employees can be presidents of companies or janitors. It's not so much what they do, but the contractual agreement they have with the person or organization that hires them.

2. ***The S (Self-employed)***
   These are people who want to "be their own boss" or like to "do their own thing." I call this group the "do-it-yourselfers."

   Often, when it comes to the subject of money, a hard-core S doesn't like to have his or her income dependent on other people. In other words, if S's work hard, they expect to get paid for their work.

   S's don't like having the amount of money they earn dictated by someone else or by a group of people who might not work as hard as they do. If they work hard, they expect to be paid well.

   Conversely, they also understand that if they don't work hard, then they don't deserve to be paid much. When it comes to money, they have fiercely independent souls.

The Emotion of Fear

So while the E often responds to the fear of not having money by seeking security, the S often responds differently. The people in this quadrant respond to fear, not by seeking security, but by taking control of the situation and doing it on their own. That is why I call the S group the do-it-yourself group. When it comes to fear and financial risk, they want to take the bull by the horns.

In this group you find well-educated professionals who spend years in school, such as doctors, lawyers, and dentists. Also in the S group are people who took educational paths other than, or in addition to, traditional school. In this group are direct-commission salespeople and real estate agents as well as small business owners like retail shopkeepers, cleaners, restaurateurs, consultants, therapists, travel agents, car mechanics, plumbers, carpenters, preachers, electricians, hair stylists, and artists.

This group's favorite song would be either "Nobody Does It Better" or "I Did It My Way."

Self-employed people are often hard-core perfectionists. They often want to do something exceptionally well. In their mind, they don't think anyone else does it better than they do, so they really don't trust anyone else to do it. In many respects, they are true artists with their own style and methods of doing things.

And that is why we hire them. If you hire a brain surgeon, you want that brain surgeon to have had years of training and experience, but most importantly, you want this brain surgeon to be a perfectionist. The same goes for a dentist, hairstylist, marketing consultant, plumber, electrician, lawyer or a corporate trainer. You, as the client hiring this person, want someone who is the best.

For people in this group, money isn't the most important thing about their work. Their independence, the freedom to do things their way, and being respected as experts in their field are much more important than mere money. When hiring them, it's best to tell them what you want done and then leave them alone to do it. They don't need or want supervision. If you meddle too much, they'll simply walk off the job and tell you to hire someone else. Remember, independence trumps money for this group.

They often have a hard time hiring other people to do what they do simply because, in their mind, nobody else is up to the task. Also, if this group trains someone to do what they do, that newly trained person often ends up leaving to "do their own thing," to "be their own boss," to "do things their way," or to "have a chance to express their individuality."

Many S types are hesitant to hire and train other people because, once trained, they often end up as their competition. This, in turn, keeps the S types working harder at doing things on their own.

3. ***The B (Business owner)***

   This group of people could almost be the opposite of the S. Those who are true B's like to surround themselves with smart people from all four categories: E, S, B, and I. Unlike the S, who doesn't like to delegate work (because no one can do it better), the B likes to delegate. The true motto of a B is, "Why do it yourself when you can hire someone to do it for you, and they can do it better?"

   Henry Ford fit this mold. As one popular story goes, a group of so-called intellectuals came by to condemn Ford for being ignorant. They claimed he really didn't know much. So Ford invited them into his office and challenged them to ask him any question, and he would answer it. So this panel assembled around America's most powerful industrialist and began to ask him questions. Ford listened to their questions and, when they

> were through, he simply reached for several phones on his desk and called in some of his bright assistants and asked them to give the panel the answers they sought.
>
> He ended by informing the panel that he'd rather hire smart people who went to school to come up with answers so he could leave his mind clear to do more important tasks, tasks like thinking.
>
> One of the quotes credited to Ford goes: "Thinking is the hardest work there is. That is why so few people engage in it."

Leadership Is Bringing Out the Best in People

My rich dad's idol was Henry Ford. He had me read books about people like Ford and John D. Rockefeller, the founder of Standard Oil. Rich dad constantly encouraged Mike and me to learn the essence of leadership and the technical skills of business. In retrospect, I understand now that many people may have one or the other, but to be a successful B, you really do need to have both. I also now realize that both skills can be learned. There is a science, as well as an art, to business and leadership. For me, both are lifelong studies.

When I was a boy, my rich dad gave me the children's book *Stone Soup,* written in 1947 by Marcia Brown and still available today. He had me read this book to begin my training as a leader in business.

"Leadership," rich dad said, "is the ability to bring out the best in people." So he trained his son and me in the technical skills necessary for becoming successful in business—technical skills such as reading financial statements, marketing, sales, accounting, management, production, and negotiation. Throughout each lesson, he stressed that we needed to learn to work with and lead people. Rich dad always said, "The technical skills of business are easy. The hard part is working with people." As a reminder, I still read *Stone Soup* today because I personally have a tendency to be a tyrant, instead of a leader, when things don't go my way.

Entrepreneurial Development

I often hear the words, "I'm going to start my own business." Many people tend to believe that the way to financial security and happiness is to do your own thing or to develop a new product no one else has. So they rush out and start their own business. In many cases, this is the path they take:

Many wind up starting an S type of business and not a B type of business. Again, one is not necessarily better than the other. Both have different strengths, weaknesses, risks, and rewards. But many people who want to start a B type of business wind up with an S type of business and become stalled in their quest to move to the right side. Many new entrepreneurs want to do this:

But they wind up instead doing this and getting stuck there:

Many then attempt to do this:

But only a few who attempt this actually make it. Why? Because the technical skills and human skills to be successful in each quadrant are different. You must learn the skills and mindset required by a quadrant in order to find true success there.

The Difference Between an S Type of Business and a B Type of Business

Those who are true B's can leave their business for a year or more and return to find their business more profitable and running better than when they left it. In a true S type of business, if the S left for a year or more, chances are there would be no business left to return to.

So what causes the difference? Saying it simply, an S owns a job; a B owns a system and then hires competent people to operate the system. Or put another way, in many cases, the S is the system. That is why they can't leave.

For example, let's take a look at a typical dentist. A dentist spends years in school learning to become a self-contained system. You, the client, get a toothache. You go see your dentist. He fixes your tooth. You pay and go home. You're happy and you tell all of your friends about your great dentist. In most cases, the dentist can do the entire job by himself. The problem is that if the dentist goes on vacation, so does his income.

B business owners can go on vacation forever because they own a system, not a job. If the B is on vacation, the money still comes in.

To be successful as a B requires:

1. Ownership or control of systems, and
2. The ability to lead people.

For S's to evolve into B's they need to convert who they are and what they know into a system, and many aren't able to do that. Or they're often too attached to the system to let go and let other people in.

Can You Make a Better Hamburger Than McDonald's?

Many people come to me for advice on how to start a company or how to raise money for a new product or idea.

I listen, usually for about 10 minutes, and within that time I can tell where their focus is. Is it the product or the business system? In those 10 minutes, I most often hear words such as these: (Remember the importance of being a good listener and allowing words to direct you to the core values of a person's soul.)

- "This is a far better product than company XYZ makes."
- "I've looked everywhere, and nobody has this product."
- "I'll give you the idea for this product; all I want is 25 percent of the profits."
- "I've been working on this (product, book, music score, invention) for years."

These are the words of a person generally operating from the left side, the E-S side.

It's important to be gentle at this time because I'm dealing with core values and ideas that have been entrenched for years, maybe handed down for generations. If I'm not gentle or patient, I could damage a fragile and sensitive launch of an idea and, more importantly, a human being ready to evolve into another quadrant.

The Hamburger and the Business

Since I need to be gentle, at this point in the conversation, I often use the "McDonald's hamburger" example for clarification. After listening to their pitch, I slowly ask, "Can you personally make a better hamburger than McDonald's?"

So far, 100 percent of the people I've talked with about their new idea or product have said yes. They can all prepare, cook and serve a better quality hamburger than McDonald's.

Next I ask them, "Can you personally build a better business system than McDonald's?"

Some people see the difference immediately, and some don't. And I would say the difference is whether the person is fixated on the left side of the quadrant, which is focused on the idea of the better burger, or on the right side of the quadrant, which is focused on the business system.

I do my best to explain that there are a lot of entrepreneurs out there offering far superior products or services than are offered by the mega-rich multinational corporations, just as there are billions of people who can make a better burger than McDonald's. But only McDonald's has created the system that has served billions of burgers.

See the Other Side

If people can begin to see this truth, I then suggest they go to McDonald's, buy a burger, and sit and look at the system that delivered that burger. Take note of the trucks that delivered the raw burger, the rancher that raised the beef, the buyer who bought the beef and the TV ads that helped sell the beef. Notice the training of young inexperienced people to say the same words, "Hello, welcome to McDonald's," as well as the decor of the franchise, the regional offices, the bakeries that bake the buns and the millions of pounds of French fries that taste exactly the same all over the world. Then include the stockbrokers raising money for McDonald's on Wall Street. If they can begin to understand the whole picture, then they have a chance at moving to the B-I side.

The reality is that there are unlimited new ideas, billions of people with services or products to offer, millions of products, and only a few people who know how to build excellent business systems.

Bill Gates didn't build a great product. He bought somebody else's product and built a powerful global system around it.

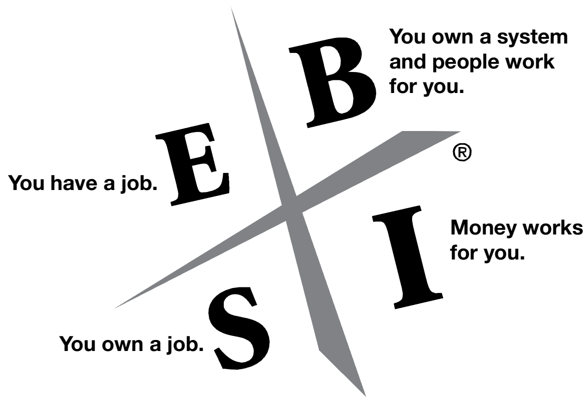
4. ***The I (Investor)***

   Investors make money with money. They don't have to work because their money is working for them.

   The I quadrant is the playground of the rich. Regardless of which quadrant people make their money in, if they hope someday to be rich, they ultimately must come to the I quadrant. It's in the I quadrant that money becomes converted to wealth.

The CASHFLOW Quadrant

The CASHFLOW Quadrant simply makes distinctions on how income is generated, whether as an E (Employee), S (Self-employed), B (Business owner) or I (Investor). The differences are summarized below.



OPT and OPM

Most of us have heard that the secrets to great riches and wealth are:

- OPT — Other People's Time
- OPM — Other People's Money

OPT and OPM are found in the B and I quadrants. For the most part, people who work in the E and S quadrants are the OP (Other People) whose time and money are being used.

A primary reason Kim and I took time to build a B type of business, rather than an S type, was because we recognized the long-term benefit of using other people's time. One of the drawbacks to being a successful S is that success simply means more hard work. In other words, good work results in more hard work and longer hours.

In designing a B type of business, success simply means increasing the system and hiring more people. In other words, you work less, earn more and enjoy more free time.

The remainder of this book goes through the skills and mindset required for the right side of the CASHFLOW Quadrant. It's my experience that being successful on the right side requires a different mindset and different technical skills. If people are flexible enough to make these changes, I think they'll find the process of achieving greater financial security or freedom easy. For other people, the process might be too difficult because many people are frozen in one quadrant and one mindset.

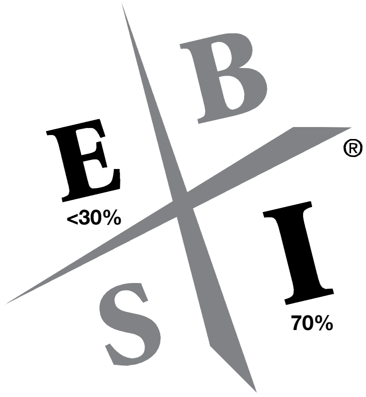
At a minimum, you'll find out why some people work less, earn more, pay less in taxes and feel more financially secure than others. It's simply a matter of knowing which quadrant to work out of and when.

A Guide to Freedom

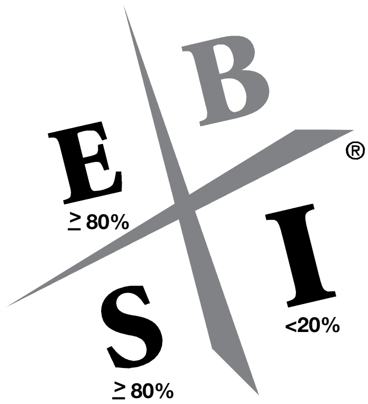
The CASHFLOW Quadrant is not a set of rules. It's only a guide for those who wish to use it. It guided Kim and me from financial struggle, to financial security, and then to financial freedom.

The Difference Between the Rich and Everyone Else

A few years ago, I read an article that said most rich people receive 70 percent of their income from investments, or the I quadrant, and less than 30 percent from wages, or the E quadrant. If they were an E, chances are that they were employees of their own corporation. Their income looked like this:



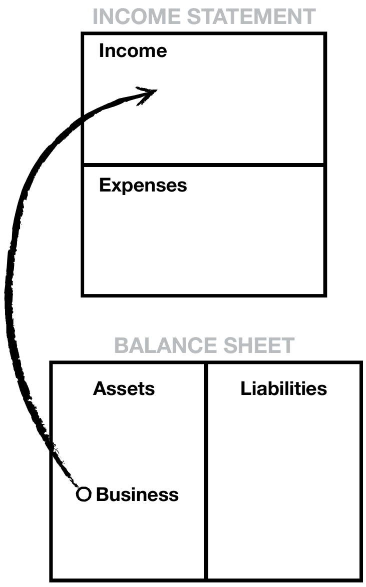
For most everyone else, the poor and the middle class, at least 80 percent of their income comes from wages from the E or S quadrants, and less than 20 percent from investments in the I quadrant.



The Difference Between Being Rich and Being Wealthy

In chapter one, I wrote that Kim and I were millionaires by 1989, but we weren't financially free until 1994. There's a difference between being rich and being wealthy. By 1989, our business was making us a lot of money. We were earning more and working less because the business system was growing without any more physical effort on our part. We had achieved what most people would consider financial success.

However, we still needed to convert the cash flow coming from the business into even more tangible assets that would generate additional cash flow. We had grown our business into a success. Now it was time to focus on growing our assets to the point where the cash flow from all of our assets would be greater than our living expenses.



By 1994, the passive income from all of our assets was greater than our expenses. At that point, we were wealthy.

Our business is considered an asset because it generated income and operated without much physical input. For our own personal sense of wealth, we wanted to make sure we also had tangible assets, such as real estate and stocks, that were throwing off more passive income than our expenses before we claimed to be wealthy. Once the income coming from tangible assets in our asset column was greater than the money coming in from the business, we sold the business to our partner. We were now wealthy.

The Definition of Wealth

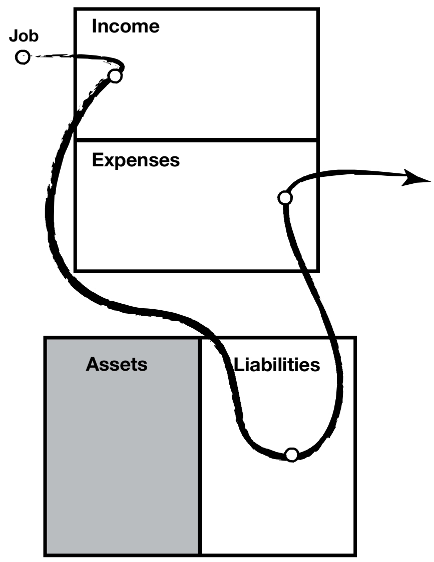
The definition of wealth is the number of days you can survive without physically working (or anyone else in your household physically working) and still maintain your standard of living.

For example, if your monthly expenses are $5,000 a month and you have $20,000 in savings, your wealth is approximately four months or 120 days. Wealth is measured in time, not dollars.

By 1994, Kim and I were wealthy indefinitely (barring great economic changes) because the income from our investments was greater than our monthly expenses.

Ultimately, it's not how much money you make that matters, but how much money you keep, and how long that money works for you. Every day I meet many people who make a lot of money, but all of their money goes out the expense column.

Every time they make a little more money, they go shopping. They often buy a bigger house or new car which results in long-term debt and more hard work. Nothing is left to go into the asset column. The money goes out so fast that you'd think they took some kind of financial laxative. Their cash-flow pattern looks like this:



Red-Line Finances

In the world of cars, there's a saying about "keeping the engine at red line." "Red line" means the throttle is keeping the RPMs of the engine close to the red line, the maximum speed the car's engine can maintain without blowing up.

Many people, rich and poor, operate constantly at the financial red line of their personal finances. No matter how much money they make, they spend it as fast as it comes in. The trouble with operating your car's engine at red line is that the life expectancy of the engine is shortened. The same is true with operating your finances at the red line.

Several of my doctor friends say that one of the main problems they see today is stress caused by working hard and never having enough money. One says that the biggest cause of health disorders is something she calls "cancer of the wallet."

Money Making Money

Regardless of how much money people make, ultimately they should put some in the I quadrant. The I quadrant is where your money makes more money. It's based on the idea that your money works hard so you don't have to work. Although the I quadrant is important to your financial health, there are other forms of investing worth noting.

Other Forms of Investing

People invest in their education. Traditional education is important. The more education you have, the better your chances may be to earn more money, depending on your choice of profession. Given that the average person spends 40 years or more actively working, college or some type of higher education may be a good investment.

Giving your loyalty and best efforts to an employer is another form of investment. In return, via contract, the employee is rewarded with a pension for life. This was a form of investment popular in the Industrial Age that is now almost obsolete in the Information Age.

Other people invest in having large families and, in turn, have their children care for them in their old age. That form of investing was the norm in the past, yet due to economic constraints in the present, it has become more difficult for families to handle the living and medical expenses of parents.

Government retirement programs such as Social Security and Medicare, which are often paid for through payroll deductions, are another form of investment mandated by law. Due to massive changes in demographics and costs, this form of investment will probably not be able to keep many of the promises it has made.

And there are independent investment vehicles for retirement that are called individual retirement plans. Often, the federal government will offer tax incentives to both the employer and employee to participate in such plans. In America, one popular plan is the 401(k) retirement plan. In countries such as Australia, they are called superannuation plans.

Income Received from Investments

Although the above are all forms of investing, the I quadrant focuses on investments that generate income on an ongoing basis during your working years. So to qualify as a person who operates as an I, use the same criteria used in all the other quadrants. Do you receive current income from the I quadrant? In other words, is your money working for you and generating current income for you?

Let's look at a person who buys a house as an investment and rents it out. If the rent collected is greater than the expenses to operate the property, that income is coming from the I quadrant. The same is true for people who receive interest from savings, or dividends from stocks and bonds. So the qualifier for the I quadrant is how much income you generate from the quadrant without working in it.

Is My Retirement Account a Form of Investment?

Regularly putting money into a retirement account is the form of investing people in the E quadrant are most encouraged to take. These retirement plans are not without risk and, even when they perform, the rate of return is never going to make you financially free.

Most of us want to be investors when our working years are over, but for the sake of this book, the I quadrant represents a person whose income comes from investments during their working years. In reality, most people aren't investing in a retirement account. Instead, most are saving money in their retirement account, hoping that when they retire, there will be more money coming out than they put in.

There's a difference between people who save money in their retirement accounts and people who, through investing, actively use their money to make more money as income.

Are Stockbrokers Investors?

Many financial advisors in the investment world are, by definition, not really people who generate their income from the I quadrant.

For example, most stockbrokers, real estate agents, financial advisors, bankers, and accountants are predominantly E's or S's. In other words, their income comes from their professional work, not necessarily from assets they own.

I have friends who are stock traders. They buy stocks low and hope to sell high. In reality, their profession is trading, much like a person who owns a retail shop and buys items at wholesale and sells them at retail. There's still something they physically must do to generate the money, so they would fit more into the S quadrant than the I quadrant.

Can all of these people be investors? The answer is yes, but it is important to know the difference between someone who earns money from commissions, sells advice by the hour, or tries to buy low and sell high compared to someone who earns money from spotting or creating good investments.

There's one way to find out how good your advisors are: Ask them what percentage of their income comes from commissions or fees versus the percentage that comes from passive income from their investments or other businesses they own.

I have several CPA friends who tell me, without violating client confidentiality, that many professional investment advisors have little in the way of income from investments. In other words, "They don't practice what they preach."

Advantages of Income from the I Quadrant

So the primary distinction of people who earn their money from the I quadrant is that they focus on having their money make money. If they're good at it, they can have that money work for them and for their family for hundreds of years.

Besides the obvious advantages of knowing how to make money with money and not having to get up and go to work, there are also many tax advantages that aren't available to people who have to work for their money.

One of the reasons the rich get richer is because they can make millions and pay, legally, little or no tax on that money. That's because they make money in the asset column, not in the income column. They make money as investors, not workers.

Moreover, people who work for money are often taxed at higher rates than investors, and their taxes are withheld from their wages. They never even see that portion of their income.

Why Aren't More People Investors?

The I quadrant is the quadrant for working less, earning more, and paying less in taxes. So why aren't more people investors? The reason is the same reason many people don't start their own businesses. It can be summed up in one word: risk.

Many people don't like the idea of handing over their hard-earned money and, possibly, not having it come back. Many people are so afraid of losing that they choose not to invest, no matter how much money they could make in return.

A Hollywood celebrity once said: "It's not return on the investment that I worry about. It's the return of the investment."

This fear of losing money seems to divide investors into four broad categories:

1. People who are risk-averse and do nothing but play it safe, keeping their money in the bank
2. People who turn the job of investing over to someone else, such as a financial advisor or a mutual-fund manager
3. Gamblers
4. Investors

The difference between a gambler and an investor is simple. For a gambler, investing is a game of chance. For an investor, investing is a game of skill. And for the people who turn their money over to someone else to invest, investing is often a game they don't want to learn. The important thing for these individuals is to choose a financial advisor carefully.

Later in this book, I'll go into the five levels of investors which should shed more light on this subject.

Risk Can Be Virtually Eliminated

The good news about investing is that risk can be greatly minimized or even eliminated, and you can still receive high yields on your money, if you know the game.

A true investor wants to recoup his or her money quickly. People who have a retirement account have to wait years to find out if they'll ever get their money back. This is the most extreme difference between a professional investor and someone who sets money aside for retirement.

It's the fear of losing money that causes most people to seek security. Yet the I quadrant is not as treacherous as many people think. The I quadrant is like any other quadrant. It has its own skills and mindset. The skills to be successful in the I quadrant can be learned if you're willing to take the time to learn.

A New Age Begins

In 1989 the Berlin Wall was torn down, as was communism. This, in my opinion, signaled the end of the Industrial Age and the start of the Information Age.

The Difference Between Industrial-Age Pension Plans and Information-Age Pension Plans

The voyage of Columbus in 1492 roughly coincides with the start of the Industrial Age. The fall of the Berlin Wall in 1989 is the event that marked the end of that age. For some reason, it seems that every 500 years in modern history, great cataclysmic changes occur. We're in one such period right now.

That change has already threatened the financial security of hundreds of millions of people, most of whom are not yet aware of the financial impact of that change and many of whom can't afford it. The change is found in the difference between an Industrial-Age pension plan and an Information-Age pension plan.

When I was a boy, my rich dad encouraged me to take risks with my money and learn to invest. He'd always say, "If you want to get rich, you need to learn how to take risks. Learn to be an investor."

At home I told my educated dad about my rich dad's suggestion that we learn how to invest and manage risk. My educated dad replied, "I don't need to learn how to invest. I have a government pension plan, a pension from the teachers union, and guaranteed Social Security benefits. Why take risks with my money?"

My educated dad believed in Industrial-Age pension plans, such as government-employee pensions and Social Security. He was happy when I signed up for the U.S. Marine Corps. Instead of being worried that I might lose my life in Vietnam, he simply said, "Stay in for 20 years, and you'll get a pension and medical benefits for life."

Although still in use, such pension plans are becoming obsolete. The idea of a company being financially responsible for your retirement and the government picking up the balance of your retirement needs through pension schemes is an old, outdated idea.

People Need to Become Investors

As we move from defined-benefit pension plans (or what I call Industrial-Age retirement plans) to defined-contribution pension plans (or Information-Age pension plans), the result is that you, as an individual, must now be financially responsible for yourself. Amazingly, few people have noticed the change and understand its ramifications.

Industrial-Age Pension Plans

In the Industrial Age, a defined-benefit pension plan meant that the company guaranteed you, the worker, a defined amount of money (usually paid monthly) for as long as you lived. People felt secure because these plans assured a steady income.

Information-Age Pension Plans

But in 1974, the rules changed with the passage of the Employee Retirement Income Security Act (ERISA). Suddenly, companies were no longer guaranteeing financial security at the end of your working days. Instead, employers began offering defined-contribution retirement plans. "Defined contribution" means that you only get back what you and the company have contributed while you were working. In other words, your pension is defined solely by what has been contributed. If you and your company put no money in, then you get no money out.

The good news is that, in the Information Age, life expectancy has increased. The bad news is that you might outlive your pension (if you even have one).

Risky Pension Plans

What many people don't understand is that whatever you and your employer put into the plan is no longer guaranteed to exist when you decide to pull it out. This is because plans like the 401(k) and the superannuation are subject to market forces. In other words, one day you could have a million dollars in the account. But, if there were a stock-market crash, which every market occasionally has, your million dollars could be cut in half or even wiped out. With defined-contribution plans, the guarantee of lifelong income is gone.

People today, who retire at age 65 and begin to live on their defined-contribution plan, could run out of money by, let's say, age 75. Then what do they do? Dust off the resumé?

And what about the government's defined-benefit pension plan? Well, in the United States, Social Security is expected to be bankrupt by the year 2037, with Medicare bankrupt by 2017. Even today, Social Security doesn't provide much in the way of income. What will happen when 77 million baby boomers begin to want the money they paid in, but it's not there?

In 1998, President Clinton's popular cry of "Save Social Security" was well received. Yet as Democratic Senator Ernest Hollings pointed out, "Obviously, the first way to save Social Security is to stop looting it." For decades, the federal government has been responsible for "borrowing" the retirement money for expenditures: a government-sanctioned Ponzi scheme.

Many politicians seem to think that Social Security is income that can be spent, rather than an asset that should be held in trust.

Too Many People Counting on the Government

I write my books and create products, such as the educational *CASHFLOW* board game, because the Industrial Age is history, and we must prepare for the opportunities of the Information Age.

My concern as a private citizen is that, from my generation forward, we aren't properly prepared to handle the differences between the Industrial Age and the Information Age. A case in point is how we prepare financially for our retirement years. The idea of "go to school and get a safe, secure job" was a good one for people born before 1930. Today, everyone needs to go to school to prepare for a job or career, but we also need to know how to invest—and investing is not a subject taught in school.

One of the problems created by the Industrial Age is that too many people are dependent upon the government to solve their individual problems. Today we're facing even bigger problems because we have delegated our personal financial responsibility to the government.

It's estimated that by the year 2020, there will be 275 million Americans, with 100 million of them expecting some kind of government support. This will include federal employees, military retirees, postal workers, teachers, other government employees, and retirees expecting Social Security and Medicare payments. They're contractually correct in expecting government support because, in one way or another, most have been investing into that promise throughout their working lives. Unfortunately, there were too many promises made for too many years. Now the bill is coming due.

I don't think those financial promises can be kept. If our government begins to raise taxes even higher to pay for those promises, those who can escape will escape to countries that have lower taxes. In the Information Age, the term "offshore" won't necessarily mean another country as a tax haven. Offshore could mean cyberspace.

A Great Change Is at Hand

I recall President John F. Kennedy warning, "A great change is at hand." Well, that change is here.

Investing without Being Investors

The change from defined-benefit to defined-contribution pension plans is forcing millions of people throughout the world to become investors, with little investor education. Many people who have spent their lives avoiding financial risks are now being forced to take them. Most will find out when it comes time to retire whether they were wise investors, or careless gamblers.

Today, the stock market is fueled by many things, one of which is non-investors trying to become investors. Their financial path looks like this:

A large majority of these people, the E's and S's, are people who by nature are security-oriented. That's why they seek secure jobs or start small businesses they can control. Because of the defined-contribution retirement plans, they're migrating today to the I quadrant where they hope they'll find security when their working years are over. Unfortunately, the I quadrant is not known for its security. The I quadrant is the quadrant of risk.

Because so many people on the left side of the CASHFLOW Quadrant come looking for security, the stock market responds in kind. That's why you often hear the following words:

1. ***Diversification***

   People who seek security use the word "diversification" a lot. Why? Because the strategy of diversification is an investment strategy for "not losing." It's not an investment strategy for winning. Successful or rich investors don't diversify. They focus their efforts.

   Warren Buffett, possibly the world's greatest investor, says this about diversification: "The strategy we've adopted precludes our following standard diversification dogma. Many pundits would therefore say the strategy must be riskier than that employed by more conventional investors. We disagree. We believe that a policy of portfolio concentration may well decrease risk if it raises, as it should, both the intensity with which an investor thinks about a business and the comfort level he must feel with its economic characteristics before buying into it."

   In other words, Warren Buffett is saying that portfolio concentration, or focusing on a few investments rather than diversifying, is a better strategy. In his mind, concentration rather than diversification requires you to become smarter and more intense in your thoughts and actions. His article goes on to say that average investors avoid volatility because they think volatility is risky. Warren Buffet says instead, "In fact, the true investor welcomes volatility."

When Kim and I were escaping from financial struggle to financial freedom, we didn't diversify. We concentrated our investments.

2. ***Blue chip stocks***
   Security-minded investors usually buy blue-chip companies. Why? Because in their mind, they're safer. While the company might be safer, the stock market is not. These stocks won't protect your money in a market free fall.

3. ***Mutual funds***
   People who know little about investing feel more secure turning their money over to a fund manager who they hope will do a better job than they can. This is a smart strategy for people who have no intention of becoming professional investors. But the problem is that, as smart as this strategy is, it doesn't mean that mutual funds are less risky.

Today, the market is filled with millions of people who, by nature, are security-minded. But, due to the changing economy, they are being forced to cross from the left side of the CASHFLOW Quadrant into the right side, where their brand of security doesn't really exist. That causes me concern.

Great Economic Upheavals Coming

The stage is set for a great economic upheaval. Such upheavals have always marked the end of an old era and the birth of a new one. At the end of every age, there are people who move forward, and other people who cling to ideas of the past. I'm afraid that people who still believe their financial security is the responsibility of a big company or big government will be disappointed in the coming years. Those are ideas of the Industrial Age, not the Information Age.

No one has a crystal ball. I subscribe to many investment news services and each one says something different. Some say the near future is bright. Some say a market crash and major depression are right around the corner. To remain objective, I listen to both sides, because both have points worth listening to. I do not play fortune-teller, trying to predict the future. Instead, I work at staying educated in both the B and I quadrants and being prepared for whatever happens. A person who is prepared will prosper no matter which direction the economy goes, whenever it goes.

If history is any indicator, a person who lives to the age of 75 should anticipate going through one depression and two major recessions during his or her lifetime. My parents went through their depression, but the baby boomers have not—yet.

Today we all need to be concerned with more than just job security. I think we must also focus on our own long-term financial security and not leave that responsibility to a company or the government. The times officially changed when companies said that they were no longer responsible for your retirement years. Once they switched to the defined-contribution retirement plan, the message was that you were now responsible for investing in your own retirement. Today, we all need to become wiser investors, always aware of the ups and downs of the financial markets. I recommend learning to be an investor rather than giving your money to somebody else to invest for you. If you simply turn your money over to a mutual fund or to an advisor, you may have to wait until you're 65 to find out if that person did a good job. If they did a lousy job, you may have to work for the rest of your life. Millions of people will have to do just that because it will be too late for them to invest or learn about investing.

Learn to Manage Risk

It is possible to invest for high returns with low risk. All you have to do is learn how it's done. It is not hard. In fact, it's much like learning how to ride a bike. In the early stages, you may fall down, but after a while, the falling stops and investing becomes second nature, just as riding a bicycle is for most of us.

The problem with the left side of the CASHFLOW Quadrant is that most people go there to avoid financial risk. Instead of avoiding risk, I recommend learning how to manage financial risk.

Take a Risk

People who take risks change the world. Few people ever get rich without taking risks. Too many people have come to depend on government to eliminate the risks of life. The beginning of the Information Age should have ushered in an era of smaller government because big government is frankly too expensive to maintain. But rather than becoming savvy, educated investors, millions of people around the world have bought into the archaic idea of entitlements and pensions for life. This simply isn't feasible. The Information Age means we all need to become more self-sufficient, grow up and take personal responsibility for our retirement.

The idea of "study hard and find a safe, secure job" is an idea born in the Industrial Age. We're not in that age anymore. The times are changing. The problem is that many people's ideas have not changed. They still think they're entitled to something. Many still think that the I quadrant is not their responsibility. They continue to think that the government, big business, a labor union, their mutual funds, or their family will take care of them when their working days are over. For their sake, I hope they're right. These individuals have no need to read further.

Rich Dad's CASHFLOW Quadrant was written to help individuals who want to make the move from the left side to the right side but don't know where to start. Anyone can make the move with the right skills and determination.

If you've already found your own financial freedom, I say, "Congratulations." Please tell others about your path and guide them if they want to be guided. Teach them, but let them find their own path, for there are many paths to financial freedom.

Regardless of what you decide, please remember this: Financial freedom might be free, but it doesn't come cheap. Freedom has a price, and to me it's worth that price. The big secret is this: It takes neither money to be financially free, nor a good formal education. It also doesn't have to be risky. Instead, freedom's price is measured in dreams, desire, and the ability to overcome disappointments that occur along the way. Are you willing to pay the price?

One of my fathers paid the price. The other didn't. But he paid a different kind of price.

The B-Quadrant Quiz

Are you a true business owner?

You are if you can answer "Yes" to the following question:

Can you leave your business for a year or more and return to find it more profitable and running better than when you left it?

❍ Yes

❍ No

Chapter Three

WHY PEOPLE CHOOSE SECURITY OVER FREEDOM

Many people seek job security because that's what they are taught, both at school and at home.

Both of my dads recommended that I go to college and get a degree. But it was after receiving the degree that their advice took different paths. My highly educated dad constantly advised: "Go to school, get good grades, and then get a good safe, secure job."

He was recommending a life path focused on the left side of the CASHFLOW Quadrant that looks like this:

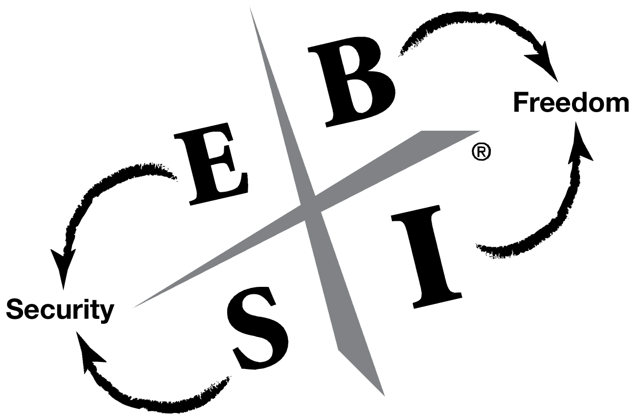
Their advice was different because one dad was concerned with job security, and the other focused on financial freedom.

Why People Seek Job Security

The primary reason many people seek job security is because that's what they are taught to seek, both at school and at home.

As adults, millions of people still continue to follow that advice. Many of us are conditioned from our earliest days to think about job security, rather than financial security or financial freedom. And because most of us learn little to nothing about money at home or at school, it's only natural that we cling ever more tightly to the idea of job security instead of reaching for freedom.

If you look at the CASHFLOW Quadrant, you'll notice that the left side is motivated by security. The right side is motivated by freedom.



Trapped by Debt

The main reason that 90 percent of the population is working on the left side is because that's the side they learned about at school. After leaving school, they often end up with lots of expenses and may fall into debt. This means they must cling ever tighter to a job, or to professional security, just to pay the bills.

I often meet young people who receive their college diploma along with the bill for their college loans. Several of them told me that they're depressed when they see that they are in debt thousands and thousands of dollars for their college education. If their parents paid the bill, then the parents are strapped financially for years.

Most Americans today will receive a credit card while still in school and will be in debt for the rest of their lives. That's because they're often following a script that became popular in the Industrial Age.

Following the Script

If we track the life of an average educated person, the financial script often goes like this:

The child goes to school, graduates, finds a job, and soon has some money to spend. The young adult now can afford to rent an apartment, buy electronics, new clothes, some furniture, and, of course, a car. Soon the bills begin to come in.

One day, the adult meets someone special and sparks fly. They fall in love and get married. For a while, life is blissful because two can live as cheaply as one. With only one rent to pay, they can afford to set a few dollars aside to buy the dream of all young couples—their own home.

They find a house, pull their money out of savings and use it for a down payment. Now they have a mortgage. Because they have a new house, they need new furnishings, so they find a furniture store that advertises those magic words: "No money down. Easy monthly payments."

Life is wonderful, and they throw a party to have all their friends over to see their new house, new car, new furniture, and new toys. They're already deeply in debt. Then the first child arrives.

After dropping the child off at nursery school, this average couple must now put their nose to the grindstone and go to work. They become trapped by the need for job security simply because, on average, they're less than three months away from financial bankruptcy. These people will often say, "I can't afford to quit. I have bills to pay."

The Success Trap

One of the reasons I learned so much from my rich dad was because he had the free time to teach me. As he grew more successful, he had more free time and money. His business got better, but he didn't have to work harder. He simply had his president expand the system and hire more people to do the work. If his investments did well, he reinvested the money and made more money. Instead of working, he spent hours with his son and me explaining to us everything he was doing in business and investing. I was learning more from him than I was learning at school. That's what happens when you work hard on the right side of the CASHFLOW Quadrant, the B and I side.

My highly educated dad worked hard too, but he worked hard on the left side. By working hard, getting promoted, and taking on more responsibility, he had less and less free time to spend with his kids. He would leave for work at 7 a.m., and many times we wouldn't see him because we had to go to bed before he got home. That's what happens when you work hard and become successful in the E and S quadrants. Success brings you less and less time, even if it does bring more money.

The Money Trap

Success on the B and I side requires a particular kind of knowledge about money called "financial intelligence." Rich dad said that financial intelligence determined, not so much how much money you make, but how much money you keep, how hard that money works for you, and how many generations you can keep it.

Success on the right side requires financial intelligence. If people lack basic financial intelligence, they'll find it hard to survive on the right side of the CASHFLOW Quadrant.

My rich dad was good with money and with people at work. He had to be. He was responsible for creating money, managing as few people as possible, keeping costs low, and keeping profits high. Those are the skills necessary for success on the right side.

It was my rich dad who stressed that your home is not an asset, but a liability. He could prove it simply by looking at the numbers.

My educated dad didn't manage money and people at work, although he thought he did. As the state superintendent of education, he was a government official with a multimillion dollar budget and thousands of employees. But it was not money he created. It was the taxpayers' money, and his job was to spend all of it. If he didn't spend it, the government would give him less money the next year. So at the end of each fiscal year, his goal was to deplete his budget, which meant he often hired more people to justify the next year's budget. The funny thing was that the more people he hired, the more problems he had.

As a young boy observing both fathers, I began to take mental notes of what kind of life I wanted to lead.

My educated dad was a voracious reader of books, so he was word-literate, but he was not financially literate. Because he couldn't read numbers on a financial statement, he had to take the advice of his banker and accountant, and both told him that his house was an asset and that it should be his largest investment.

Because of this financial advice, not only did my highly educated dad work harder, he also got further into debt. Every time he received a promotion for his hard work, he also got a pay raise, and with each pay raise he went into a higher tax bracket. Because he was in a high tax bracket, and taxes for high-income workers in the 1960s and 1970s were extremely high, his accountant and banker would tell him to buy a bigger house so he could write off the interest payments. He made more money, but all that happened was that his taxes increased and his debt increased. The more successful he got, the harder he had to work, and the less time he had with the people he loved. Soon, all the children were gone, and he was still working hard just to keep up with the bills.

He always thought that the next promotion and pay raise would solve his problem. But the more money he made, the more the same things happened. He got deeper into debt and paid more in taxes.

The more frazzled he got, both at home and at work, the more he seemed to depend on job security. The more emotionally attached he got to his job and to a paycheck to pay the bills, the more he encouraged his kids to "get a safe, secure job."

The more insecure he felt, the more he sought security.

Your Two Biggest Expenses

Because my dad couldn't read financial statements, he failed to see the money trap he was getting sucked into as he grew more successful. It's the same money trap I see millions of other successful hardworking people fall into.

The reason so many people struggle financially is because, every time they make more money, they also increase their two biggest expenses: taxes and interest on debt.

To top it all off, the government often offers you tax breaks to get you deeper into debt. Doesn't that make you a little suspicious?

At the end of my hardworking, educated dad's life, the little money he did have left to pass on was taken by the government in probate taxes.

The Search for Freedom

I know that many people search for freedom and happiness. The problem is that most people haven't been trained to work from the B and I quadrants. They have been trained instead to search for job security. Because of this training and their increasing debt, most people limit their search for financial freedom to the left side of the CASHFLOW Quadrant. Unfortunately, financial security and financial freedom are seldom found in the E or the S quadrant. True security and freedom are only found on the right side.

Going from Job to Job in Search of Freedom

One thing the CASHFLOW Quadrant is useful for is to track or observe a person's life pattern. Many people spend their life in search of security or freedom, but wind up instead going from job to job.

For example, I have a friend from high school who I hear from about every five years. He is always excited because he has found the perfect job and the company of his dreams. He loves the company. It's doing exciting things. He loves his work, he has an important title, the pay is great, the people are great, the benefits are great, and his chances for promotion are great.

About four and a half years later, I hear from him again. Only this time he's dissatisfied. The company he works for is now corrupt and dishonest and, in his opinion, it doesn't treat its workers with respect. He hates his boss, he was passed over for a promotion, and they don't pay him enough. Six months go by, and he's happy again because he's found a new job. And the cycle starts anew.

His life path looks something like a dog chasing its tail. It looks like this:

His life pattern is going from job to job. So far, he lives well because he's smart, attractive, and personable. But the years are catching up with him, and younger people are now getting the jobs he used to get. He has a few thousand dollars in savings, nothing set aside for retirement, a house he'll never own, child-support payments, and college yet to pay for. His youngest child, 8, lives with his ex-wife, and his oldest child, 14, lives with him.

He used to always say to me, "I don't have to worry. I'm still young. I have time."

I wonder if he's saying that now.

In my opinion, he needs to make a serious effort to begin moving to either the B or the I quadrant quickly. A new attitude and a new educational process need to begin. Unless he gets lucky and wins the lottery, or finds a rich woman to marry, he's on a course of working hard for the rest of his life.

Doing Your Own Thing

Another common pattern is someone going from E to S. During periods of massive downsizing and unemployment, some people get the message. Instead of looking for another job, they decide to start their own businesses.

There's been a boom in so-called home-based businesses. Many people make the decision to start their own business, do their own thing, and be their own boss. Their career path looks like this:

Of all the life paths, this is the one I feel for the most. In my opinion, being an S can be extremely rewarding—and the most risky. I think the S quadrant is the hardest quadrant there is. The failure rates are high and, if you make it, being successful can be worse than failing. That's because, if you're successful as an S, you'll work harder than if you were in any of the other quadrants, and you'll work harder for a long time.

The reason S's work the hardest is because they typically are the proverbial "chief cook and bottle washer." They have to do, or be responsible for, all the jobs that are done by many managers and employees in a bigger company. An S just starting out often answers the phone, pays the bills, makes sales calls, tries to advertise on a small budget, handles customers, hires employees, fires employees, fills in when employees don't show up, talks to the tax man, fights off the government inspectors, and on and on.

Personally, I cringe whenever I hear someone say they're going to start their own business. I wish them well, yet I feel great concern for them. I've seen so many E's take their life savings or borrow money from friends and family to start their own business. After three or so years of struggle and hard work, the business folds and, instead of life savings, they have debt to pay off.

Nationally, nine out of 10 of these types of businesses fail in five years. Of the one that is remaining, nine out of 10 of them fail in the next five years. In other words, 99 out of 100 small businesses ultimately disappear in 10 years.

I think the reason most fail in the first five years is due to lack of experience and lack of capital. The reason the one survivor often fails in the second five years isn't due to lack of capital, but lack of energy. The hours of long, hard work finally get to the person. Many S's just burn out.

Those who do survive seem to have become used to the idea of getting up, going to work, and working hard forever. That seems to be all they know and all they do.

I have a friend whose parents have spent the last 45 years working long hours in their liquor store. As crime increased in their neighborhood, they had to put steel bars up on the doors and all the windows. Today, money is passed through a slot, much like in a bank. I go by occasionally to see them. They're wonderful, sweet people, but it saddens me to see them as virtual prisoners in their own business, from 10 in the morning until two the next morning, staring out from behind the bars.

Many wise S's sell their businesses at their peak, before they run out of steam, to someone with energy and money. They take some time off and then start something new. They keep doing their own thing and love it. The key is to know when to get out.

The Worst Advice to Give Your Children

If you were born prior to 1930, then "Go to school, get good grades, and find a safe, secure job" was good advice. But for most of you, it's bad advice.

Why? The answer is found in taxes and debt.

For people who earn their income from the E quadrant, there are virtually no tax breaks left. Today in America, being an employee means you are a 50/50 partner with the government. That means the government ultimately will take 50 percent or more of an employee's earnings, and much of that before the employee even sees the paycheck.

When you consider that the government offers you tax breaks for going further into debt, the path to financial freedom is virtually impossible for most people in the E and S quadrants. I often hear accountants tell clients who begin earning more income from the E quadrant to buy a bigger house so they can receive a bigger tax break. While that may make sense to someone on the left side of the CASHFLOW Quadrant, it makes no sense to someone on the right side.

Who Pays the Most Taxes?

The rich do not pay a lot in income taxes. Why? Simply because they don't earn their money as employees. The ultra-rich know that the best way to avoid taxes legally is by generating income out of the B and I quadrants.

If people earn money in the E quadrant, the only tax break they're offered is to buy a bigger house and go into greater debt. Viewed from the right side of the CASHFLOW Quadrant, that isn't financially intelligent. To people on the right side, that's like saying, "Give me $1, and I will give you 50 cents back."

Taxes Are Unfair

I often hear people say, "It's un-American not to pay taxes." Americans who say this seem to have forgotten their history. America was founded out of tax protest. Have they forgotten the famous Boston Tea Party of 1773? This rebellion sparked the Revolutionary War and was all about taxation—taxation without representation.

This rebellion was followed by Shays' Rebellion, the Whiskey Rebellion, Fries's Rebellion, the Tariff Wars, and many others throughout the history of the United States.

There are two other famous tax revolts that weren't staged by Americans, but do demonstrate the passion with which people object to taxation.

The story of William Tell is a story of tax protest. That's why he was forced to shoot the apple off his son's head. He was angry about taxes and refused to bow to the tax collector. His punishment was to put his son's life at risk with a target on his head.

And then there was Lady Godiva. She pleaded with her husband, the Earl of Mercia, to lower taxes in her town. Her husband said he would lower the taxes if she would ride naked through the town. She took him up on his offer.

Tax Advantages

Taxes may be a necessity of modern civilization, but problems arise when taxes become abusive and mismanaged. As millions of baby boomers begin to retire, they will shift from the role of taxpayers to retirees and Social Security recipients. There will be a need to collect more taxes to support this shift. America and other great nations will decline financially. Individuals with money will leave in search of countries that welcome their money, instead of penalizing them for having it.

A Big Mistake

A newspaper reporter once asked me how much money I made during the prior year. I replied, "Approximately a million dollars."

"And how much did you pay in taxes?" he asked.

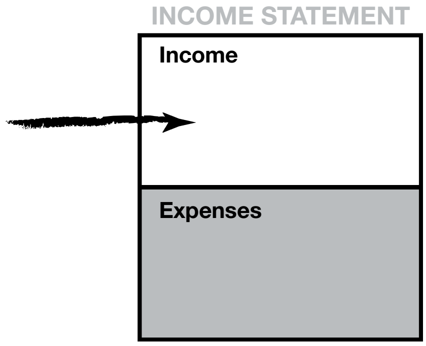
"Nothing," I said. "That money was made in capital gains and I was able to indefinitely defer paying those taxes. I sold three pieces of real estate and put them through a Section 1031 exchange under the U.S. Internal Revenue Code. I never touched the money. I just reinvested it into a much larger property." A few days later, the newspaper ran this story.

"Rich man makes $1 million and admits to paying nothing in taxes."

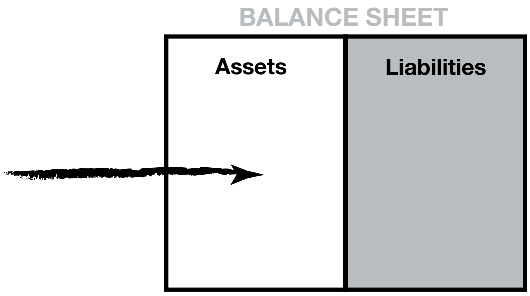
I did say something like that, but a few choice words were missing, which distorted the message. I don't know if the reporter was being malicious or if he simply didn't understand what a 1031 exchange is. Whatever the reason, it's a perfect example of different points of view coming from different quadrants. As I said, not all income is equal. Some income is much less taxed than others.

Most People Focus on Income, Not Assets

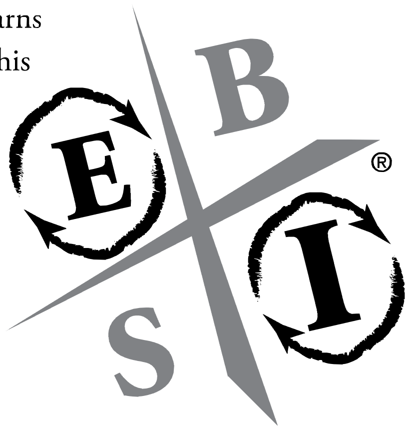
The reporter earns his money in this column.



I earn my money in this column.



The reporter earns
his money in this
quadrant.



I earned my million
in this quadrant.

Today, I still hear people say, "I'm going back to school so I can get a raise," or "I'm working hard so I can get a promotion."

Those are words or ideas of a person who is focusing on the income column of the financial statement or the E quadrant. Those are the words of a person who will give half of that raise to the government and work harder and longer to do it.

In an upcoming chapter, I'll explain how people on the right side of the CASHFLOW Quadrant utilize taxes as an asset, instead of the liability it is for most people on the left side. It's not a matter of being unpatriotic. It's about fighting back legally to defend the right to keep as much money as possible. Countries where people don't protest their taxes often have depressed economies.

Get Rich Quickly

For Kim and me to go from homeless to financially free quickly meant earning our money in the B and I quadrants. In these quadrants, you can get rich quickly because you can avoid paying taxes legally. And by being able to keep more money and have that money work for us, we found freedom quickly.

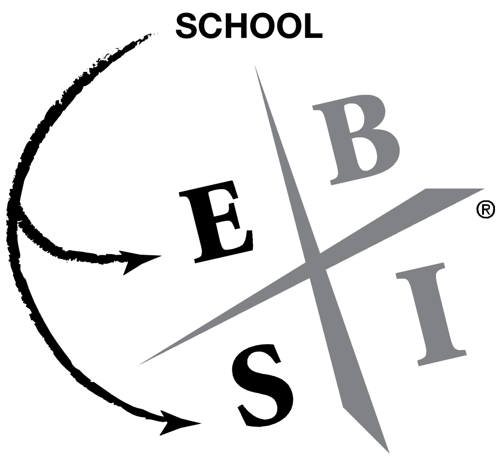
How to Get Free

Debt and taxes are the main reasons most people never feel financially secure or achieve financial freedom. The path to security or freedom is found on the right side of the CASHFLOW Quadrant. You need to go beyond job security and know the difference between financial security and financial freedom.

As you know, my highly educated dad was fixated on job security, as are most people of his generation. He assumed that job security meant financial security—until, that is, he lost his job and couldn't find another. My rich dad never talked about job security. He talked instead about financial freedom.

The answer to finding the kind of security or freedom you desire can be found in observing the patterns found in the CASHFLOW Quadrant.

The Pattern for Job Security



People who follow this pattern are often good at performing their job. Many spent years in school and years on the job gaining experience. The problem is that they know little about the B quadrant or the I quadrant, even if they have a retirement plan. They feel financially insecure because they've been trained only for job security.

Knowledge Is Power

To become more financially secure, I suggest that, in addition to performing their jobs in the E or S quadrants, individuals become educated in the B or I quadrants. By having confidence in their abilities on both sides of the CASHFLOW Quadrant, they'll naturally feel more secure, even if they have only a little money. Knowledge is power, and when an opportunity presents itself, they will be prepared to act with confidence.

That is why our maker gave us two legs. If we had only one leg, we would always feel wobbly and insecure. By having knowledge in two quadrants, one on the left and one on the right, we tend to feel more secure. People who know about their job or their profession only have one leg. Every time the economic winds blow, they tend to wobble more than people with two legs.

The Pattern for Financial Security

This is the pattern for financial security for an E:

Instead of just putting money into a retirement account and hoping for the best, this loop signifies that people feel confident in their education as both an investor and an employee. Just as we study at school to learn a job, I suggest you study to become a professional investor.

The reporter who was upset about my making a million dollars in my asset column and not paying taxes never asked me the question, "How did you make the million dollars?"

To me, that's the real question. Legally avoiding the taxes is easy. Making the million wasn't so easy.

A second path to financial security could be:

And this is what financial security looks like for an S:

The average American millionaire is self-employed, lives frugally, and invests for the long term. The pattern above reflects that financial life path.

This path, the S to the B, is often the path that many great entrepreneurs like Bill Gates take. It's not the easiest but, in my mind, it is one of the best.

Two Are Better Than One

Back in chapter two, I discussed how the average rich person earns 70 percent of their income from the right side and less than 30 percent from the left side. I've found that no matter how much money people make, they will feel more secure if they operate in more than one quadrant. Financial security is having a secure footing on both sides of the CASHFLOW Quadrant.

Millionaire Firefighters

I have two friends who are examples of success on both sides of the CASHFLOW Quadrant. They have tremendous job security with benefits, and they have also achieved great financial wealth on the right side. Both are firefighters who work for the city government. They enjoy good, steady pay, excellent benefits and retirement plans, and work only two days a week. Three days a week they work as professional investors. The remaining two days, they relax and spend time with their families.

One buys old houses, fixes them up, and collects rent. He owns 45 houses that pay him $10,000 a month net after debt, taxes, maintenance, and management and insurance. He earns $3,500 a month as a firefighter, making his total monthly income more than $13,000 and his annual income about $150,000 and growing. He has five more years before retirement, and his goal is to have $200,000 a year in income at age 56. Not bad for a government employee with four kids.

The other friend spends his time analyzing companies and taking major long-term positions in stocks and options. His portfolio is now more than $3 million. If he cashed it out and moved the money into an investment that earns 10 percent interest a year, he would have an income of approximately $300,000 per year for life (even taking into account average market fluctuations). Again, not bad for a government employee with two kids.

Both friends have enough passive income from their 20 years of investing to have retired by age 40, but they both enjoy their work and want to retire with full benefits. Then they'll be free to enjoy the benefits of success gained from both sides of the CASHFLOW Quadrant.

Money Alone Does Not Bring Security

I have met many people who have millions in their retirement accounts and still feel insecure. Why? Because it's money generated from their job or business. They often have the money invested in a retirement account, but know little to nothing about the subject of investments. If that money disappears and their working days are over, what do they do then?

In times of great economic change, there are always great transfers of wealth. Even if you don't have much money, it's important to invest in your education because, when the changes come, you'll be better prepared to handle them. Don't be caught unaware and afraid. As I said, no one can predict what will happen, so it's best to be prepared for whatever happens. And that means getting educated now.

The Pattern for Financial Freedom

This is the pattern my rich dad recommended. It is the path to financial freedom. This is true financial freedom because, in the B quadrant, people are working for you, and in the I quadrant, your money is working for you. You are free to work or not to work. Your knowledge in these two quadrants has brought you complete physical freedom from work.

If you look at the ultra-rich, this is their pattern. The loop around the B and the I signifies the income pattern of people like Bill Gates, Rupert Murdoch, and Warren Buffett.

A quick word of caution: The B quadrant is much different from the I quadrant. I've seen many successful B's sell their businesses for millions, and their new-found wealth goes to their head. They tend to think that their dollars are a measure of their IQ, so they swagger on down to the I quadrant and lose it all. The game and rules are different in all of the quadrants, which is why I recommend education over an ego trip.

Just as in the case of financial security, having two quadrants gives you greater stability in the world of financial freedom.

A Choice of Paths

The preceding patterns are the different financial paths people can choose. Unfortunately, most people choose the path of job security. When the economy starts wobbling, they cling ever more desperately to job security and wind up spending their lives pursuing it.

At a minimum, I recommend becoming educated in financial security, which is feeling confident about your job and feeling confident about your ability to invest in good and bad times. A big secret is that true investors make more money in bad markets. They make their money because the non-investors are panicking and selling when they should be buying. I'm not afraid of the possible coming economic changes, because change means wealth is being transferred.

Your Boss Cannot Make You Rich

A friend of mine sold his company and, on the day of the sale, put more than $15 million into his bank account. On the other hand, his employees had to look for new jobs.

At the farewell party, which was filled with tears, there were also undercurrents of extreme anger and resentment. Although he'd paid them well for years, most were financially no better off on their last day of work than they were on their first day of work. Many people realized that the owner of the company had become rich while they spent all those years collecting their paychecks and paying bills.

The reality is that your boss's job is not to make you rich. Your boss's job is to make sure you get your paycheck. It's your job to become rich if you want to. And that job begins the moment you receive your paycheck. If you have poor money-management skills, then all the money in the world won't save you. If you budget your money wisely and learn about either the B or I quadrant, then you're on your own path to great personal fortune and, most importantly, freedom.

My rich dad used to say to his son and me that the only difference between a rich person and a poor person is what they do in their spare time.

I agree with that statement. I realize that people are busier than ever before, and free time is more and more precious. Yet I believe that if you're going to be busy anyway, be busy on both sides of the CASHFLOW Quadrant. If you do that, you'll have a better chance of eventually finding more free time and more financial freedom. When at work, work hard. But remember that what you do after work with your paycheck and your spare time will determine your future. If you work hard on the left side, you'll work hard forever. If you work hard on the right side, you have a chance of finding freedom.

The Path I Recommend

I am often asked by people in the E and S quadrants, "What would you recommend?" I recommend the same path my rich dad recommended to me—the same path that people like Ross Perot and Bill Gates took. The path looks like this:

Occasionally people reply, "But I'd rather be an investor."

To which I say, "Then go to the I quadrant. If you have plenty of money and lots of free time, go straight to the I quadrant. But if you don't have an abundance of time and money, the path my rich dad recommended is safer."

I's Invest in B's

In most cases, people do not have an abundance of time and money, so they then ask another question, "Why do you recommend the B quadrant first?"

This discussion usually takes an hour or so, but I'll just summarize my reasons in the next few lines.

1. ***Experience and education***
   If you are first successful as a B, you'll have a better chance of developing into a powerful I. If you first develop a solid business sense, you can become a better investor. You'll be better able to identify other good B's. True investors invest in successful B's with stable business systems. It's risky to invest in an E or an S who doesn't know the difference between a system and a product, or who lacks excellent leadership skills.

2. ***Cash flow***
   If you have a business that is up and running, you then should have the free time and the cash flow to support the ups and downs of the I quadrant.

   Many times I meet people from the E and S quadrants who are so tight on cash that they can't afford to take any kind of financial loss. One market swing and they're wiped out because they operate financially at the red line.

   The reality is that investing is capital- and knowledge-intensive. Sometimes it takes lots of capital and requires a lot of time to gain the necessary knowledge. Many successful investors have lost many times before winning. Successful people know that success is a poor teacher. Learning comes from making mistakes and, in the I quadrant, mistakes cost money. If you lack both knowledge and capital, it's financial suicide to try to become an investor.

   By developing the skill of becoming a good B first, you'll also be providing the cash flow necessary to help you become a good investor. The business you develop as a B will provide the cash to support you as you gain the education to become a good investor. Once you have gained the knowledge to become a successful investor, you'll understand how I can say, "It does not always take money to make money."

Good News

The good news is that it's easier than ever before to be successful in the B quadrant because of technology. Although it's not as easy as just getting a minimum-wage job, the systems are in place now for more and more people to find financial success as B's.

Chapter Four

THE THREE KINDS OF BUSINESS SYSTEMS

Your goal is to own a system and have people work that system for you.

In moving to the B quadrant, remember that your goal is to own a system and have people work that system for you. You can develop the business system yourself, or you can look for a system to purchase. Think of the system as the bridge that will allow you to cross safely from the left side of the CASHFLOW Quadrant to the right side. It's your bridge to financial freedom.

There are three main types of business systems commonly in use today. They are:

1. Traditional C corporations—where you develop your own system
2. Franchises—where you buy an existing system
3. Network marketing—where you buy into and become part of an existing system

Each business system has its strengths and weaknesses, yet each ultimately does the same thing. If operated properly, each system will provide a steady stream of income without much physical effort on the part of the owner once it's up and running. The problem is getting it up and running.

In 1985, when people asked Kim and me why we were homeless, we simply said, "We're building a business system."

It was a business system that was a hybrid of the traditional C corporation and a franchise. As stated before, the B quadrant requires a knowledge of both systems and people.

Our decision to develop our own system meant a lot of hard work. I'd taken this route before, and my company had failed. Although it was successful for years, it suddenly went broke in its fifth year. When success came to us, we weren't ready with an adequate system. Our system began to break down even though we had hardworking people. We felt like we were on a good-size yacht that had sprung a leak in a location we could not determine.

You May Lose Two or Three Companies

When I was in high school, my rich dad told Mike and me that he had nearly lost a company when he was in his twenties. "That was the best and worst experience of my life," he said. "As much as I hated it, I learned more by repairing it and eventually turning it into a huge success."

Knowing that I was contemplating starting my own company, rich dad said to me, "You may lose two or three companies before you build a successful one that lasts."

He was training Mike to take over his empire. But because my dad was a government employee, I wasn't going to inherit an empire. I had to build my own.

Success Is a Poor Teacher

"Success is a poor teacher," rich dad always said. "We learn the most about ourselves when we fail, so don't be afraid of failing. Failing is part of the process of success. You can't have success without failure."

Maybe it was a self-fulfilling prophecy, but in 1984, my third company went down. I had made millions and lost millions and was starting all over again when I met Kim. The reason I know she didn't marry me for my money is because I didn't have any money. When

I told her what I was going to do, build company number four, she didn't back away.

"I'll build it with you," was her reply, and she was true to her word. Along with another partner, we built a business system with 11 offices worldwide that generated income regardless of whether we worked or not. Building it from nothing to 11 offices took five years of blood, sweat, and tears, but it worked. Both dads were happy for me and sincerely congratulated me.

The Hard Part

Mike often said to me, "I'll never know if I can do what you or my dad did. The system was handed to me. All I had to do was learn how to run it."

I'm certain he could have developed his own successful system because he learned well from his dad, but I understand his doubt. The hard thing about building a company from scratch is that you have two big variables: the system, and the people building the system. If both the people and the system are leaky, the chances for failure are great. Sometimes it's hard to know whether the problem is the person or the system that is failing.

Before Franchises

When my rich dad began teaching me about becoming a B, there was only one kind of business—big business, a major corporation that usually dominated the town. In our town in Hawaii, it was the sugar plantation that controlled virtually everything, including other big businesses. So there were big businesses and mom-and-pop S-type businesses, with little in between.

Working at the top levels of those big sugar companies wasn't a realistic goal for people like rich dad and me. Minorities such as the Japanese, Chinese, and Hawaiians worked in the fields, but were never allowed in the boardroom. So rich dad learned everything he knew simply by trial and error.

As I started high school, we began to hear about a thing called "franchises," but none had come to our little town. We hadn't yet heard about McDonald's, Kentucky Fried Chicken, or Taco Bell. They weren't part of our vocabulary while I was studying with rich dad. When we did hear rumors about them, we heard they were illegal, fraudulent scams and dangerous. Rather than believe the rumors, rich dad flew to California to check out franchising for himself. When he returned, all he said was, "Franchises are the wave of the future," and he bought the rights to two of them. His wealth skyrocketed as the idea of franchises caught on, and he began selling his rights to other people so they could have a chance at building their own businesses.

When I asked him if I should buy one from him, he simply said, "No. You've come this far in learning how to build your own business system. Don't stop now. Franchises are for people who don't want to build, or don't know how to build their own systems. Besides, you don't have the $250,000 it takes to buy a franchise from me."

It's hard to imagine today a city without a McDonald's or Burger King or Pizza Hut on every corner. Yet there was a time, not too long ago, when they didn't even exist.

How to Learn to Become a B

The way I learned to become a B was by being an apprentice to my rich dad. His son and I were both E's learning to be B's. And that is the way many people learn. It's called on-the-job training. This is the way many closely-held family empires are passed on from one generation to the next.

The problem is that not too many people are privileged or lucky enough to learn the behind-the-scenes aspects of becoming a B. Most corporate management-training programs are just that—the company only trains you to be a manager. Few teach what it takes to be a B.

Often people get stuck in the S quadrant on their journey to the B quadrant. This happens primarily because they don't develop a strong-enough system and end up becoming an integral part of the system. Successful B's develop a system that will run without their involvement.

There are three ways you can make it to the B side quickly.

1. ***Find a mentor.***
   My rich dad was my mentor. A mentor is someone who has already done what you want to do and is successful at doing it. Don't find an advisor. An advisor is someone who tells you how to do it but may not have personally done it. Most advisors are in the S quadrant. The world is filled with S's trying to tell you how to be a B or an I. My rich dad was a mentor, not an advisor. One of the biggest tips my rich dad gave me was this: "Be careful of the advice you take. While you must keep your mind open, always be aware of which quadrant the advice is coming from."

   My rich dad taught me about systems and how to be a leader of people, not a manager of people. Managers often see their subordinates as inferiors. Leaders must direct people who are often smarter.

   A traditional way of learning about systems is getting your MBA from a prestigious school and then getting a fast-track job that takes you up the corporate ladder. An MBA is important because you learn the basics of accounting and how the financial numbers relate to the systems of a business. Yet having an MBA doesn't mean you're competent to run all the systems that ultimately make up a complete business system.

   To learn about all the systems necessary in a big company, you'll need to spend 10 to 15 years there and learn all the different aspects of the business. You should then be prepared to leave and start your own company. Working for a successful major corporation is like being paid by your mentor.

   Even with a mentor and/or years of experience, this first method is labor-intensive. Creating your own system requires a lot of trial and error, up-front legal costs, and paperwork. All of this occurs at the same time you're trying to develop your people.

2. ***Buy a franchise.***
   Another way to learn about systems is to buy a franchise. When you buy a franchise, you're buying a tried-and-proven operating system.

   By buying the franchise system, instead of trying to create your own system, you can focus on developing your people. Buying the system removes one big variable when you're learning how to be a B. Many banks will loan money for a franchise, but not for a small start-up business, because they recognize the importance of systems and how starting with a good system lowers their risk.

   A word of caution: Franchises are hard for people with an S-quadrant mentality who want to do their own thing. If you buy a franchise system, be an E. Just do it exactly the way they tell you to do it. Nothing is more tragic than the courtroom fights between franchisees and franchisors. The fights happen because the people who buy the system really want to do it their way, not the way the person who created the system wants it done. If you want to do your own thing, then do it after you've mastered both systems and people.

   My highly educated dad failed, even though he bought a famous ice cream franchise. Although the system was excellent, the business still failed. In my opinion, the franchise failed because his partners were all E's and S's who didn't know what to do when things started to go bad and didn't ask for support from the parent company. In the end, the partners fought among themselves, and the business went down. They forgot that a true B is more than a system. It's also dependent on good people to operate the system.

Banks Don't Lend Money to People Without Systems

If a bank won't lend money to a small business without a system, why should you? Almost daily, people come to me with business plans with the hope of raising money for their idea or their project.

Most of the time I turn them down for one main reason: The people raising the money don't know the difference between a product and a system. I've had friends ask me to invest money in developing a new music CD, and others who want me to help form a new nonprofit to change the world. As much as I might like the project, the product, or the person, I'll turn them down if they have little or no experience in creating and running business systems.

Just because you can sing doesn't mean you understand the systems of marketing, finance and accounting, sales, human resources, and the many other systems that are required to keep a business afloat and make it successful.

For a business to survive and thrive, 100 percent of all the systems must be functioning and accountable. For example, an airplane is a system of systems. If it takes off and, let's say, the fuel system fails, there often is a crash. The human body is also a system of systems. Most of us have had a loved one die because one of the body systems failed. The same thing happens in business.

That is why building a tried-and-true business system isn't easy. It's the systems you forget about or don't pay attention to that cause you to crash and burn. That's why I rarely invest with an E or S who has a new product or idea. Professional investors tend to invest in proven systems with people who know how to run those systems.

If banks lend based only on tried-and-true systems and the person who is going to run them, then you should do the same if you want to be a smart investor.

3. ***Get involved in network marketing** (also called multi-level marketing or direct distribution systems).*

   Just as with franchises, the U.S. legal system initially attempted to outlaw network marketing. It has been banned and restricted in some countries. Any new system or idea often goes through a period of being classified as strange and suspicious. At first, I also thought that network marketing was a scam. But over the years I've studied the various systems available through network marketing, watched several friends become successful at this form of B, and changed my mind.

After I dropped my prejudices and began researching network marketing, I found many people who were sincerely and diligently building successful network-marketing businesses. When I met these people, I saw the impact their business had on other people's lives and financial futures. I began to truly appreciate the value of the network-marketing system. For a reasonable entry fee (often around $200), people can buy into an existing system and immediately start building their business. Due to the technological advances in the computer industry, these organizations are totally automated, and the headaches of paperwork, order processing, distribution, accounting, and follow-up are almost entirely managed by the network-marketing software systems. New distributors can focus all of their efforts on building their business instead of worrying about the normal start-up headaches of a small business.

One of my old friends who did more than a billion dollars in real estate business in one year, recently signed on as a network-marketing distributor and began building his business. I was surprised to find him so diligently building a network-marketing business because he definitely didn't need the money. When I asked him why, he explained it this way: "I went to school to become a CPA, and I have an MBA in finance. When people ask me how I became so rich, I tell them about the multimillion-dollar real estate transactions I do and the hundreds of thousands of dollars in passive income I receive each year from it. I then notice that some of them withdraw or shy away. We both know that their chances of doing multimillion-dollar real estate investments like I do are slim to none. So I began to look for a way I could help them achieve the same level of passive income I developed from real estate without going back to school for six years and spending 12 years investing in real estate. I believe network marketing gives people the opportunity to build up the passive income they need for support while they learn to become professional investors. That is why I recommend network marketing to them. Even if they have little money, they can still invest 'sweat equity' for five years and begin to generate more than enough passive income to begin investing. By developing their own business, they have the free time to learn, and the capital to invest with me in my bigger deals."

After researching several opportunities, my friend joined a network-marketing company as a distributor and started a network-marketing business with people who might someday want to invest with him. He's now doing well in his network-marketing business, as well as in his investment business. He told me, "I did it initially because I wanted to help people find the money to invest, and now I'm getting rich from a whole new business."

Twice a month, he holds classes on Saturdays. At the first meeting, he teaches people about business systems and people, or how to develop into a successful B. On the second meeting of the month, he teaches them about financial literacy and financial intelligence in order to turn them into savvy I's. His class sizes are growing rapidly.

The pattern he recommends is the same one I recommend.

A Personal Franchise

That's why today I recommend that people consider network marketing. Many famous franchises cost a million dollars or more to buy. Network marketing is like buying a personal franchise, often for less than $200.

I know much of network marketing is hard work. But success in any quadrant is hard work. I personally generate no income as a network-marketing distributor. I researched several network-marketing companies and their compensation plans. While doing my research, I did join several companies, just because their products are so good and I use them as a consumer.

The one recommendation I have for finding a good organization to help you move to the right side of the CASHFLOW Quadrant is to focus not so much on the product, but on the education the organization offers. There are network-marketing organizations that are only interested in having you sell their system to your friends, and there are organizations primarily interested in educating you and helping you succeed.

From my research into network marketing, I found two important things you can learn through their programs that are essential to become a successful B:

1. To be successful, you need to learn to overcome your fear of being rejected and to stop worrying about what other people say and think about you. So many times I've met people who hold themselves back simply because of what their friends might say if they did something different. I know, because I was the same way. Coming from a small town, everyone knew what everyone else was up to. If someone didn't like what you were doing, the whole town heard about it and made your business their business.

   One of the things I told myself over and over was, "What you think of me is none of my business. What is most important is what I think about myself."

One of the reasons my rich dad encouraged me to work in sales for the Xerox Corporation for four years wasn't because he liked copiers, but because he wanted me to overcome my shyness and fear of rejection.

2. To be successful, you must also learn to lead people. Working with different kinds of people is the hardest thing about business. The people I've met who are successful in any business are those who are natural leaders. The ability to get along with and inspire people is a priceless skill, a skill that can be learned.

As I said, the transition from the left side to the right side isn't so much what you do, but who you have to become. If you learn how to handle rejection, how to not be affected by what other people think of you, and how to lead people, you'll find prosperity. So I endorse any network-marketing organization that is primarily committed to developing you as a human being, rather than developing you into a salesperson. I would seek organizations that:

1. Are proven, with a successful track record, a distribution system, and a compensation plan that have been successful for years.
2. Have a business opportunity you can succeed with, believe in, and share confidently with others.
3. Have ongoing, long-term educational programs to develop you as a human being. Self-confidence is vital on the right side of the CASHFLOW Quadrant.
4. Have a strong mentor program. You want to learn from leaders, not advisors. You want to learn from people who are already leaders, who are on the right side, and who want you to succeed.
5. Have people you respect and enjoy being with.

If the organization meets these five criteria, then and only then look at the product. Too many people look at the product instead of the business system and the organization behind the product. In some of the organizations I looked into, their pitch was, "The product sells itself. It's easy." If you're looking to be a salesperson, an S, then the product is the most important thing. But if you're developing into a long-term B, then the system, lifelong education, and the people are more important.

A friend and colleague of mine who is knowledgeable in this industry reminded me about the value of time, one of our most precious assets.

A true success story in a network-marketing company is when your commitment of time and hard work in the short term results in significant long-term passive income. Once you've built a strong organization below you, you can stop working and your revenue stream will continue from the efforts of the organization you've built. The most important key to success with a network-marketing company is a long-term commitment on your part, as well as the organization's part, in order to mold you into the business leader you want to become.

A System Is a Bridge to Freedom

Being homeless was not an experience I want to repeat. Yet for Kim and me, the experience was priceless. Today, freedom and security are found, not so much in what we have, but in what we know we can create with confidence.

Since that time, we have created or helped develop a real estate company, an oil company, a mining company, and two education companies. So the process of learning how to create a successful system was beneficial for us. Yet I don't recommend the process to anyone unless they truly want to go through it.

Until only a few years ago, the possibility of a person becoming successful in the B quadrant was only available to those who were brave or rich. Kim and I must have been brave, because we certainly weren't rich. Many people stay stuck on the left side because they feel the risks involved in developing their own system are too great. For them, it's smarter to remain safe and secure in a job.

Today, primarily due to changes in technology, the risk in becoming a successful business owner is greatly reduced, and the opportunity to build your own or leverage an existing business system is available to virtually everyone.

Franchises and network marketing took away the hard part of developing your own system. You acquire the rights to a proven system, and then your only job is to develop your people.

Think of business systems as bridges that provide a path for you to cross safely from the left side to the right side of the CASHFLOW Quadrant.